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1. Central Banking in an Age of Global Supply Shocks

Author: Şebnem Kalemli-Özcan | **Date:** May 29, 2026 | **Original:** <https://www.project-syndicate.org/commentary/central-banks-job-much-harder-in-face-of-supply-shocks-by-sebnem-kalemli-ozcan-2026-05>

TOKYO—As G7 finance ministers were meeting in Paris this month, the bond market was telling us what their official communiqués would not. The 30-year US Treasury yield touched 5.2% on May 19—the highest rate since 2007—while Germany’s 10-year Bund hit a 15-year high and the 30-year Japanese government bond set a fresh record of its own.

These movements came after the US Federal Reserve decided, in April, to hold rates at 3.5–3.75%, with the Federal Open Market Committee more divided than it has been in three decades. Across the Atlantic, markets put the odds of a European Central Bank rate hike by December at 85%. After five years of being told that inflation was transitory, then conquered, then transitory again, investors have concluded otherwise.

Monetary policy is operating in a new environment, under conditions that are fundamentally different from those in which modern inflation targeting was designed. The orthodox framework was built for a world in which most macroeconomic shocks affected demand, aggregate or sectoral supply disruptions were small enough to “look through,” and central banks could rely on a stable Phillips curve linking aggregate labor-market slack to weaker inflation. Unfortunately, none of those assumptions are fit for a geopolitically fragmented world characterized by frequent supply shocks.

Consider the COVID-19 experience. In a June 2022 presentation for the ECB Forum on Central Banking, my co-authors and I examined inflation in terms of aggregate demand, sectoral demand, and sectoral supply shocks. The result that surprised most readers—though it should not have—was that over two-thirds of eurozone inflation between late 2019 and late 2021 originated outside the eurozone, having been transmitted through global production networks.

Supply-side disruptions in foreign sectors, propagated by input-output linkages and amplified by the consumption shift from services to goods, accounted for the bulk of the price pressure. Domestic aggregate demand mattered, but not nearly as much as the policy debate assumed. The interaction between aggregate demand and sectoral supply shocks was more relevant.

In a scenario where supply is constrained, the global production network is granular (meaning it comprises many firms of different sizes spread across many sectors and locations), and demand is elevated via fiscal or monetary stimulus or booming stock markets, more inflation is produced than in a non-supply-constrained economy. Policies to manage aggregate demand cannot eliminate distortions in global networks, because monetary policy is a national instrument. As the inflation-output trade-off worsens, achieving disinflation becomes more expensive.

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During the 2022–24 disinflation episode, the Fed hiked the benchmark federal funds rate 525 basis points in 16 months, going faster and further than any G7 peer, and US inflation duly fell from a peak of 9.1% in June 2022 to roughly 3% by mid-2023. Because the ECB was slower to start tightening and constrained by a weaker recovery and an energy shock (linked to the Russian invasion of Ukraine) it could not control, eurozone disinflation took longer. And in the United Kingdom, which faced the greatest energy-passthrough pressure, the process took longer still.

Conventional narratives credit these differences in the speed of disinflation to differences in the underlying inflation mix. But that is not the whole story. The more important factor was central-bank credibility. Long-run inflation expectations in the US barely moved off 2% because the Fed convinced markets that it would do whatever was necessary.

Credibility, in other words, did most of the heavy lifting. The actual rate hikes mattered less than the market's belief that more would come if needed. There is only one mechanism whereby monetary policy can stabilize supply-side inflation cheaply: by ensuring that no one will bother to price in a wage-price spiral, because everyone knows that the central bank would never tolerate one.

That is why the current configuration is so much more difficult than the last one. In 2022, central banks faced two supply shocks—the pandemic and Russia's full-scale invasion of Ukraine. In 2026, they face a sequence that came on top of these previous shocks: tariffs followed by the Iran war. The US government's attacks on central-bank independence thus could not have come at a worse time. Some 62% of fund managers now expect the 30-year Treasury yield to reach 6%, not because they are forecasting Fed incompetence, but because they can see the constraints the Fed is operating under.

We have seen this movie before in emerging markets. In Turkey, sustained political interference in monetary policy pushed inflation from under 20% in 2021 to above 80% in 2022, unleashing a cycle that could be reversed only with extreme measures and significant pain. And Argentina, of course, has been pressing repeat for decades.

The mechanics are always the same. The central bank loses the freedom to react ahead of inflation expectations; it remains behind the curve, and the cost of disinflation rises by an order of magnitude. The point of ensuring that you have a credible central bank is precisely that you do not have to find out how much credibility you have when it really counts.

Bond markets are telling us three things. First, inflation is no longer a discrete problem to be solved at the national level; it is global in nature, reflecting frequent supply shocks in an economically fragmented world. Second, fiscal stimulus in the face of today's supply shocks is the worst possible response, and one that monetary policy alone cannot offset. And third, central-bank independence is less costly to defend when it is not yet under threat, and more expensive to rebuild after it has been lost.

Markets have seen the writing on the walls. Governments must open their eyes, too.

2. Americans Can't Afford Trump's Economy

Author: Jeffrey Frankel | **Date:** May 28, 2026 | **Original:** <https://www.project-syndicate.org/commentary/affordability-platform-for-democrats-to-counter-trump-inflation-by-jeffrey-frankel-2026-05>

CAMBRIDGE—US President Donald Trump campaigned on a promise to end inflation “starting on day one.” He even pledged to lower the price level, which would require holding inflation below zero. Instead, he has acted as if he were going out of his way to drive up inflation in the United States.

Political leaders generally find it difficult to deal with inflation. Voters complain bitterly about rising prices, even when their incomes are rising faster, and they blame their domestic leaders, even when inflation is increasing globally. Yet these leaders have few good options for reining in price growth. While putting inflation hawks in charge of an independent central bank would deliver results eventually, it is far from a quick fix, and it carries high costs for output and employment.

US President Joe Biden experienced this in 2022, when inflation soared to 9.1% that June, as the post-pandemic recovery ran into supply constraints everywhere in the world. But during the Biden years, wages at least kept up with prices, growing by about 5.0% annually in 2021–25, while the consumer price index (CPI) rose at an average rate of 4.9%.

Under Trump, by contrast, real wages have fallen. In April 2025–April 2026, prices rose by 3.9%, but average hourly earnings increased by only 3.7% in dollar terms, implying a 0.2% decline in real wages. And inflation is not slowing. The 12-month CPI inflation rate jumped to 3.8% last month, from 3.3% in March. If it were to continue at the rate of the last two months for an entire year, annual CPI inflation would reach 9%. (This extrapolation is admittedly hypothetical, as oil prices are unlikely to continue to rise at the rate seen in March–April.)

The result is an escalating affordability crisis, which Democrats hope to leverage to make gains in the November midterm elections. To this end, the Democratic Party should embrace an honest platform of specific anti-inflation measures: rolling back Trump's tariffs; bringing energy prices down; defending the Federal Reserve's independence; reining in fiscal profligacy; and restoring sanity to immigration policy.

Outside of Trump and his sycophants, pretty much everyone knew that Trump's tariffs would increase the prices American consumers pay for imports. Importers and households experienced about 90% of the costs from the 2025 tariffs, while foreign exporters paid just 4%. Though businesses have so far absorbed more of the cost than consumers, the tariffs added about 0.7 percentage points to the consumer price index, just by September 2025.

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The Democrats can reverse these tariffs as soon as they retake control of Congress, putting an immediate dent in inflation. With many of Trump's tariffs having already been ruled unconstitutional—most recently, a federal trade court struck down his 10% worldwide tariff—this might be as simple as suspending his administration's search for ways to keep them in place.

Bringing energy prices down will be more difficult. Trump's foolish war on Iran has caused the biggest oil-price shock since at least 1979, with energy costs surging nearly 18% over the last 12 months. The damage—political, fiscal, and human—cannot simply be undone. But while it may be a while before we see a \$60 barrel of oil again, there is another way to lower energy costs in the US: stop Trump's crusade against low-cost solar and wind energy.

Trump's unprecedented attacks on the Fed's independence were a surefire way to drive up inflation, as economists have long warned. Fortunately, the Fed has so far stood firm. Fed Governor Lisa Cook did not surrender to the administration's flagrantly illegal attempt to remove her. And the Fed's former chair, Jerome Powell, showed great integrity and courage in the face of Trump's intimidation tactics and will be staying on as a voting governor.

It is an open question whether the Fed's new chair, Kevin Warsh, will uphold the tradition of Fed independence. As Nobel laureate economist Paul Krugman observed, when Warsh had an opportunity at his Senate confirmation hearing to demonstrate integrity by affirming that Biden won the 2020 presidential election, he evaded the question.

Krugman does not mince words, describing Warsh as a "partisan hack." Like Trump, Warsh has attacked the Fed for pursuing monetary easing when Democrats were in the White House, even when unemployment reached 10%. When Republicans were in the White House, however, he attacked the Fed for tightening monetary policy, even with unemployment at 3.5%.

Of course, Warsh could decide that safeguarding the institution he now leads is more important than pleasing the president, much like Thomas à Becket, appointed by King Henry II as Archbishop of Canterbury in 1162, became loyal to the Church once he was responsible for it. But I would not hold my breath.

Then there is Trump's fiscal profligacy, which has exceeded that of even the most reckless of his predecessors. Linda Bilmes estimates that the war with Iran is costing \$2 billion per day, likely to add up to over \$1 trillion. The simultaneous pursuit of tax cuts and sharply higher government spending is inflationary. While US politicians will not restore fiscal sustainability any time soon, Democrats should invoke the 1990s, when judicious federal budgets eliminated an unprecedented deficit, and eventually try a similar approach.

This brings us to immigration policy. Trump's mass-deportation initiative has contributed to worker shortages in critical sectors, such as construction, where immigrants account for nearly one-third of the labor force. This puts upward pressure on housing prices, just as worker shortages in the agriculture industry raise the prices of meat and produce. A sensible US immigration policy would help to alleviate such inflationary pressures, which are affecting even health care.

For the Democrats, such a concrete affordability platform could go a long way toward winning over voters in the midterm elections, as some tire of taking politicians' anti-inflation promises at face value. But put aside the game of scoring political points. Americans cannot afford two more years of Trump's policies.

3. India's External Shock Is an Economic Opportunity

Author: Gaurav Dalmia | **Date:** May 27, 2026 | **Original:** <https://www.project-syndicate.org/commentary/india-response-to-iran-energy-shock-by-gaurav-dalmia-1-and-chetan-aggarwal-2026-05>

NEW DELHI—Indian Prime Minister Narendra Modi's appeals for Indians to adjust their consumption habits have been described as "austerity." But cutting back on gold purchases, using public transport, limiting overseas travel, working from home, and even cutting down on cooking oil is not general belt-tightening. It is a targeted defense of India's external account at a moment of profound disruption.

Austerity is typically associated with economies that have weak fundamentals or otherwise lack options for achieving fiscal sustainability. But the Indian economy's fundamentals are relatively strong. Real GDP growth is expected to reach 7.4% this fiscal year, with medium-term potential growth hovering around 7%. Moreover, private consumption now accounts for 61.5% of GDP, the highest share since 2011–12.

India's vulnerability lies in its external account: the country runs a persistent merchandise-trade deficit of roughly \$280–300 billion annually, which is only partly offset by services, and which is financed largely by capital inflows (including remittances). While this is not a problem during times of relative stability, it generates acute risks when energy prices surge and global capital becomes more risk-averse.

The United States and Israel's war on Iran has produced precisely this combination, and Indian equity investing is compounding the risks. This is exemplified by the recent rally in the South Korean and Taiwanese equity markets—a reflection of the global AI and semiconductor boom—with foreign-capital outflows from the Indian stock market, which lacks AI offerings, totaling \$37 billion since January 2025.

Modi's government sees the writing on the wall, so it is taking steps to prevent a sudden terms-of-trade shock from triggering shortages, fueling inflation, destabilizing financial markets, and eroding India's strategic autonomy. To this end, purchasing power in dollars must be sustained as energy imports, shipping insurance, and freight costs rise.

Gold is one of India's largest discretionary import lines, paid for in foreign exchange. But according to the State Bank of India, the value of gold imports rose from \$57.9 billion in fiscal year 2025 to \$72.4 billion in 2026, even as volumes fell. Likewise, crude prices jumped from \$62–70 per barrel in February 2026 to above \$100 today, while import volumes declined. Every \$10 increase in Brent crude adds an estimated \$13–14 billion to India's import bill and widens the current-account deficit by about 0.3% of GDP.

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Measures such as raising effective import duties on gold and silver to 15% and stabilizing the supply of staple goods are intended to limit avoidable dollar outflows. They are blunt instruments, but they take effect quickly, enabling the state to absorb some of the pressure on margins before it spreads through the broader economy.

More must be done, but India has prepared for this moment. Over the past five years, the government has worked to build up buffers and strengthen domestic capacity in logistics, infrastructure, manufacturing, and energy supplies. Supply chains have been diversified, with India now sourcing energy from nearly 40 countries. Domestic refiners have increased their output of liquefied petroleum gas by roughly 25%. India would have far less room for maneuver today had it not taken such steps.

To maximize this breathing room, India must ring-fence its external account without choking growth. The State Bank of India's group chief economic adviser, Soumya Kanti Ghosh, has proposed opening a special foreign-exchange window for oil marketing companies, which would separate their daily demand for dollars (around \$250–300 million) from other market operations. This would stabilize the rupee, which has depreciated sharply, and prevent bulk dollar purchases from becoming the dominant market signal.

If global conditions worsen, a time-bound foreign-currency non-resident bank swap window could also steady forex markets, inject foreign-currency liquidity into the economy, and ease pressure on the rupee. Careful management of external commercial borrowing would also help. In previous crises, the government had successfully raised capital from the diaspora through the Resurgent India Bonds and India Millennium Deposits.

But such measures would have to be matched by reforms at the national, state, and local levels to accelerate execution. The Department for Promotion of Industry and Internal Trade's updated standard operating procedure for paperless processing of foreign direct investment proposals is a step in the right direction, but effective implementation is essential.

In the medium term, India must build on the eight free-trade agreements it has secured since 2021—including a landmark agreement with the European Union—to increase its export competitiveness. Lower logistics costs, faster trade facilitation, predictable regulation, and a credible pipeline of higher-value manufacturing exports will go a long way toward supporting progress.

The power sector is central to the necessary adjustment. India's state-owned power-distribution companies have accumulated financial losses exceeding \$69 billion. But without a solvent distribution network, renewable deployment slows, capital costs rise, and import dependence remains higher than necessary. Tariff rationalization, substituting leaky subsidies with direct benefit transfers, and stronger contract enforcement are thus urgent. In the longer term, India must reduce the economy's oil intensity, so that the next shock feels smaller.

Beyond energy, India must diversify its payment systems, rebuild its manufacturing competitiveness, and strengthen its AI sector. Increasing investment in research and development to 2–3% of GDP (from 0.6–0.7% of GDP today)—whether through direct government intervention or incentives for private actors—is crucial.

When Modi urges Indians to work from home or postpone a holiday, more is at stake than insulating the economy from the current shock. In a world where energy flows are contested, shipping routes are vulnerable, and capital markets are shaped more by geopolitics than macroeconomic fundamentals, India must leverage its relative strength to build long-term resilience against the next crisis.

4. The Gangster Logic of Trump's Tariff Wars

Author: Anne O. Krueger | **Date:** May 26, 2026 | **Original:** <https://www.project-syndicate.org/commentary/trump-tariffs-extortion-racket-by-anne-o-krueger-2026-05>

WASHINGTON, DC—In his second term, President Donald Trump has turned extortion and coercion into central features of American statecraft, deploying tariffs, sanctions, and other forms of economic pressure against adversaries and allies alike. With each passing day, the damage caused by this gangster-like approach—for both the US and global economies—becomes increasingly evident.

Shortly after returning to the White House, Trump made clear that he viewed tariffs as weapons rather than instruments of trade policy. In April 2025, he unveiled his “Liberation Day” tariffs, imposing steep country-specific levies on imports. The stated goal was to shrink the United States’ trade deficit, though the rates were largely untethered from economic reality. Instead, they were designed to extract concessions: countries willing to lower their own trade barriers, the administration promised, would be rewarded with reduced US tariffs.

In practice, however, these measures created enormous uncertainty, harming both exporters and importers. Trump’s erratic behavior compounded the problem, as tariff rates were repeatedly announced, suspended, restored, and increased with little warning and no coherent rationale.

The confusion deepened as the courts began pushing back. In February, the Supreme Court ruled that Trump had exceeded the tariff authority granted under the International Emergency Economic Powers Act of 1977. Earlier this month, the Court of International Trade followed suit, striking down his attempt to impose a blanket 10% tariff on imports from nearly every country under Section 122 of the 1974 Trade Act.

Predictably, the Trump administration has appealed the ruling and declared that it will seek other ways to keep its tariffs in place. It has already launched proceedings against 16 countries accused of engaging in unfair trade practices. But with the Supreme Court appearing increasingly skeptical of Trump’s attempts to rule by executive fiat, he may find it difficult to impose the kind of sweeping tariff regime he has long envisioned.

Even so, Trump has succeeded in turning tariffs into a kind of protection racket, using trade negotiations to pressure trading partners—including Japan, South Korea, Taiwan, Saudi Arabia, and the European Union—into pouring vast sums into the US economy.

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The deals with Japan and South Korea illustrate the nature of Trump's tariff diplomacy. His administration targeted both countries by imposing a 25% tariff on their car exports—a pillar of their economies. The Japanese tariff was later raised to 27.5% and then reduced to 15% after Japan agreed to import more US agricultural goods, including rice, and commit \$550 billion to “rebuild and expand core American industries” such as semiconductors, pharmaceuticals, and shipbuilding.

Like an experienced mobster, Trump sought to play one country against another, using the deal with Japan to pressure South Korea into investing \$350 billion in the US in exchange for reducing its tariff rate to 15%. Given South Korea's dependence on the American security umbrella, its parliament reluctantly passed legislation establishing a fund to finance these investments. It was still not enough: in January, Trump raised tariffs on South Korean products back to 25% after accusing the country of failing to honor its commitments.

South Korea's reluctance was hardly surprising. Under the agreement, the US would effectively control how South Korean funds are allocated, with Commerce Secretary Howard Lutnick leading an investment committee that would select projects and present them to Trump for approval.

Nor do the investments themselves make much economic sense. If they were genuinely profitable, private firms would undertake them on their own. Instead, many of the targeted industries are precisely those in which US production costs are far above those of foreign competitors. Shipbuilding, an industry where South Korea is a global leader, is a prime example.

To be sure, profitability depends on far more than efficient production. Taxes, subsidies, and other government policies matter as well. But once foreign capital is steered toward politically favored firms, the line between free enterprise and state-backed industrial patronage disappears.

The extortion does not stop there. Once the principal and interest are repaid, 90% of the remaining profits would flow to the US, even though it contributed none of the initial investment. Key questions also remain unanswered: How will these agreements be enforced? How much public money will ultimately be funneled into private firms? And will the projects themselves be subjected to any serious cost-benefit analysis?

By any reasonable definition, these are not investment agreements so much as tribute payments or, worse, graft. Moreover, it is far from clear that South Korea, or any country, can absorb commitments of this scale without suffering serious economic damage.

The irony is hard to miss. Trump has justified his tariffs as a way to shrink America's trade and current-account deficits. Yet if these massive investment inflows materialize, they are likely to strengthen the dollar, increase net imports, and widen the very trade deficits his tariff regime was ostensibly meant to target.

Even worse, Trump's approach sends a stark message to American businesses and foreign governments that the US no longer adheres to free-market principles. Instead, it is increasingly willing to use its economic might to extract resources from weaker countries by holding the threat of tariffs over their heads. Once political favoritism supplants market competition as the organizing principle of international commerce, the resulting distortions are bound to reverberate through the global economy.

5. Industrial Policy for an Age of Uncertainty

Author: Yuen Yuen Ang | **Date:** May 25, 2026 | **Original:** <https://www.project-syndicate.org/commentary/industrial-policy-directed-improvisation-not-picking-winners-by-yuen-yuen-ang-2026-05>

WASHINGTON, DC—Industrial policy is back, and with a vengeance. After decades of preaching neoliberalism, Western policymakers and intellectuals have rediscovered the role of the state in economic development. Even the World Bank has jumped on the bandwagon, conceding that its old advice now has the “practical value of a floppy disk,” and that every country should make industrial policy part of its national toolkit.

But swinging from one end of the spectrum to the other is not the same as thinking anew. Much of the hype over industrial policy misses a new reality: today, simultaneous disruptions—AI, deglobalization, climate shocks, and geopolitical frictions—make it harder for policymakers to know which winner to bet on.

In the 20th century, the playbook for late industrializing countries demanded disciplined execution, but at least it was clear: build infrastructure, attract factories, manufacture for export, and climb the value chain. Today, the path is far less obvious. Moreover, disruptive innovation, by definition, cannot be predicted. By the time policymakers realize which technologies truly matter (such as semiconductors), the train may already have left the station.

Selecting winners is even more difficult among advanced Western economies, because their policy reflects not only the pursuit of competitiveness, but also security concerns. Once the logic of national security takes hold, almost everything can be declared “critical” or “strategic”—be it semiconductors, electric vehicles, fertilizer, masks, baby formula, painkillers, or even lumber.

The debate is not whether governments should intervene—most already do. Instead, the real question is: what can governments do when they do not know in advance what will work?

One answer from the World Bank and others is to adapt and experiment. But who could disagree with that? Left unsaid is how exactly governments should enable adaptation.

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Ten years ago, in *How China Escaped the Poverty Trap*, I introduced the concept of “directed improvisation.” Governments that rely on this approach do not dictate outcomes or pick winners in advance. Instead, they act more like the director of an improvised play, or like the programmer of a self-generating computer game. Their job is to create the conditions for bottom-up, spontaneous

creation and shape a variety of possibilities by drawing boundaries, defining and rewarding success, and scaling up what works.

My premise is that uncertainty—all the unknown possibilities, both good and bad—is distinct from risk, meaning negative outcomes whose probability of occurrence can be calculated and controlled. Under uncertainty, preselecting outcomes is not only futile but potentially counterproductive, since it may lead governments to miss opportunities that defy their initial expectations. Instead of controlling, governments must exercise influence.

One way to do that is through what I call adaptive policy communication. When faced with a novel challenge, governments can initially issue grey (ambiguous) signals that neither endorse nor prohibit activity. Then, when pilots prove effective, they can endorse them explicitly, while drawing red lines to prevent intolerable risks.

This mechanism can be systematically measured. In a recent study, my co-authors and I used large language models to classify Chinese central policy directives and track how signals have evolved over time and across policy domains. What we found undercuts the stereotype of China as the Darth Vader of industrial policy—an omnipresent state that thinks in decades, picks winners, pours in subsidies, and aims to dominate the world.

Consider e-commerce, a major engine of inclusive growth. China now has the world's largest e-commerce industry, accounting for roughly 50% of global sales and generating an estimated 50-70 million jobs. E-commerce platforms accelerate the sales of countless retailers and manufacturers of consumer goods like lighters, lamps, and socks, none of which matter geopolitically, but all of which are indispensable to modern life—not least in America.

But was e-commerce one of the sectors targeted by the government's Made in China 2025? The first central directive related to e-commerce was issued in 2000, when the State Council referred to "internet information services," defined narrowly as providing information online and designing webpages for fees. Central planners did not foresee the rise of e-commerce.

Nor did the government take a hands-off approach. As the sector grew, the state took notice and adapted its strategy. In 2015, the State Council approved a request from the Zhejiang provincial government to build experimental zones for cross-border e-commerce, urging it to "support bold innovation" and "adjust according to the times." In plain language, this was a green light to scale up an industry that had shown proof of concept, with local authorities lobbying the central government for support.

The lesson for other countries is not that they should copy China. It is that under uncertainty, the challenge for industrial policy is not simply picking winners but discovering them. And once they are discovered, it is essential to tailor support beyond the usual toolkit of tariffs and subsidies. Some of the most effective government support in e-commerce came from policies that encouraged traditional industries to integrate themselves into digital platforms.

China is not the only illustration. Who would have predicted that Nigeria would produce the world's second-largest film industry by volume? Or that fashion, empowered by e-commerce, would become one of Africa's fastest-growing creative industries?

More broadly, many vibrant, creative, digital sectors that are emerging from the bottom up in Africa defy the old industrial-policy vision of foreign-invested factories and industrial parks. Yet through my own research in Nigeria, I found that entrepreneurs in these emerging sectors face obstacles when they seek support to scale up operations. Banks hesitate to lend to those without physical collateral, and technocrats overlook businesses that do not appear “strategic.”

In the 21st century, uncertainty—unknown possibilities—is not a bug, but a feature. Designing industrial policy under such conditions requires more than pivoting away from neoliberalism. It demands a new way of thinking that I call AIM (adaptive, inclusive, moral) political economy.

AIM challenges a core assumption of top-down planning: that policymakers know the answers in advance. Increasingly, they do not. But this does not mean helplessness. It means crafting meta-institutions that enable discovery and innovation—which often emerge unexpectedly.

6. The Policy Pivot Trump Needs

Author: Glenn Hubbard | **Date:** May 25, 2026 | **Original:** <https://www.project-syndicate.org/commentary/trump-must-stop-assault-on-dollar-and-focus-on-other-policies-by-glenn-hubbard-2026-05>

NEW YORK—US President Donald Trump’s administration believes that the dollar’s reserve-currency status has tilted the global playing field against America and undermined the country’s competitiveness. While wrong about the dollar, the White House is right about an issue that economists—who, unlike voters, abstract from the exchange rate’s distributional effects—often ignore. As November’s midterm elections approach, the administration needs a policy pivot if it is to meet its rebalancing goals and strengthen the US economy.

To be sure, the dollar’s global role, all else being equal, increases its value but also leaves the United States running larger current-account deficits than it would otherwise. But focusing solely on a reserve currency’s challenges overlooks its benefits and, importantly, the non-tariff policy tools that can address domestic spillovers—the impetus for Trump’s “Liberation Day” tariffs, which aimed to rein in imports and promote exports.

Economists have responded to the Trump administration’s concerns about US Federal Reserve swap lines with foreign central banks by arguing that they are a feature, not a bug, of the dollar’s position, which requires the US to supply greenbacks when needed. They have also pointed out that while current-account deficits may be associated with a strong dollar, the US has had large trade imbalances, with the attendant fretting, even when the greenback’s foreign-exchange value has been relatively low.

Instead, economists emphasize the dollar’s “exorbitant privilege,” including lower borrowing costs and the ability to impose financial sanctions on geopolitical adversaries. Moreover, they counter that tariffs are not an effective response to the dollar’s impact on US exports because they raise domestic manufacturing costs (roughly half of US imports are intermediate goods) and do not reduce the macro imbalances driving the overall trade deficit.

These arguments are correct, but also incomplete. In fact, Trump’s concerns reflect a crucial political-economy question: the distributional implications of dollar dominance.

To see why, consider Robert E. Rubin’s tenure as US Treasury Secretary in the Clinton administration. His mantra was that “a strong dollar is good for America.” He could have been referring to the features of the US economy that underpin the dollar’s status, such as institutional and policy stability and deep financial markets. Whatever the exact meaning, his stance reflected the prevailing view on Wall Street, which benefited from the stronger dollar implied by reserve-currency status.

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But for all the benefits that accrue to financiers and consumers, a stronger dollar makes it harder for US industry to compete globally, to the detriment of industrial employment, incomes, and communities. Trump's position is thus reminiscent of the political tug-of-war in 1925 in the UK over returning pound sterling to its pre-World War I exchange rate under the gold standard. Despite supporting financial interests and the stronger pound, then-Chancellor of the Exchequer Winston Churchill said: "I would rather see finance less proud and industry more content."

Trump's economic agenda recognizes the adverse effects of globalization and technological advances on certain parts of American society, in contrast to economists' emphasis on averages and overall benefits. But Trump misses the simple insight that there are more—and better—ways to help US manufacturing and its left-behind workers than through a weaker dollar alone. He has several policy instruments at his disposal that can address these voters' concerns and help achieve his administration's goals while preserving support for the dollar's reserve-currency role.

For starters, the administration can support a robust industrial sector by increasing public funding for basic research, which advances technology, and a network of applied research centers to diffuse advances in industrial processes. Streamlining regulatory approvals for construction and electricity transmission will also be crucial.

Second, to help workers develop new skills, the administration could channel more resources toward community colleges, while a substantially expanded Earned Income Tax Credit would increase rewards for work. Lastly, more targeted place-based aid could help those areas facing severe disruptions from globalization and technology.

By focusing on the problems associated with a stronger dollar, Trump and his economic advisers have asked an old question in a new way. Their mistake is insisting on answering it with the wrong instrument. Weakening the dollar, including by eroding policy predictability and the economic institutions underpinning its hegemony, will exacerbate the affordability pressures many Americans face and harm the country's fiscal position. The question now is whether the administration will see the need for a policy pivot in time to affect the midterms.

7. The Affordability Crisis Is About More than Prices

Author: Carolina Alves | **Date:** May 22, 2026 | **Original:** <https://www.project-syndicate.org/commentary/affordability-crisis-governments-treating-symptoms-not-causes-by-carolina-alves-1-2026-05>

CAMBRIDGE—Governments around the world are struggling to devise a sensible approach to managing inflation and disruptions to production and the supply of basic goods. The UK Treasury, for example, has just issued a proposal to encourage supermarkets to cap prices on essentials (such as bread and milk) in exchange for loosened packaging and environmental regulations.

At first glance, the policy appears pragmatic and compassionate. But look beneath the surface and you will find an unwillingness to confront the structural drivers of rising costs. Instead of intervening in the markets, the Treasury is negotiating with them, revealing its failure to appreciate the scale of the affordability crisis it faces. The problem lies not just in expensive bread and milk, but in a systemic, long-term failure to address stagnant wages, high housing costs, and expensive essential services.

Worse, while publicly “picking a fight” over the cost of basic goods may appear responsive, it runs the risk of backfiring. What will the government do if retailers simply resist, delay, or comply selectively? The policy will produce no results, and the state’s credibility will be further weakened.

Recent European experience highlights the danger. In 2023, the French government negotiated a “basket of anti-inflation products,” whereby supermarkets were free to select a limited set of goods to be sold at reduced prices for a defined period. While politically visible, the scheme relied on voluntary participation, covered only a small share of products, varied across retailers, and had a limited and short-lived impact on overall food-price dynamics. Such schemes may lower prices on selected items, but they allow retailers to adjust margins elsewhere.

Similarly, in 2022, Greece introduced a “household-basket” initiative that encouraged supermarkets to keep selected staples affordable and regularly report on prices to signal their responsiveness. Again, the program generated short-term visibility and some price moderation on specific items, but it did not substantially alter underlying profit margins or broader inflation dynamics.

More interventionist approaches have also run into problems. When Hungary imposed direct price caps on selected food items in 2022–23—shifting from voluntary coordination to mandatory controls—retailers responded by raising prices on non-capped goods, leading to supply distortions and periodic shortages. Spain, by contrast, temporarily reduced its value-added tax on staple foods, which eased consumer prices at the margin; but since the scheme depended on savings being passed through multiple links in the supply chain, the overall results were neither uniform nor transformative.

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Despite their differences, these cases reflect a common model that proved inadequate. Whether voluntary, coercive, or indirect, governments relied on retailer-led interventions targeting a narrow range of goods at the point of sale. These schemes may increase visibility, but they leave market structures unchanged; price caps risk encouraging evasion and supply disruptions; and indirect measures such as tax cuts depend on firm behavior to transmit savings. In none of these cases did the policy alter underlying cost structures, profit dynamics, or distributional patterns.

The focus on retail is especially misplaced in the United Kingdom, where exceptionally high housing and utility costs are absorbing a growing share of household income and sharply reducing what remains for essential consumption. By targeting supermarket prices alone, the government is misdiagnosing the problem and missing an opportunity to tackle the real causes of the affordability crisis.

Such interventions reflect a persistent bias in how governments respond to inflation. Policymakers' instinct is to act on prices at the end of the supply chain, rather than on the conditions that shape them. Yet food-price inflation is often driven by energy costs, agricultural inputs, labor conditions, global commodity markets, and corporate pricing strategies.

The affordability crisis is not simply about retail prices. It stems from the relationship between prices, incomes, and the broader organization of social provisioning. What matters is not whether the price of bread is marginally lower at the checkout counter, but whether households have the means to obtain essential goods reliably. The question is not how to cap prices, but how to secure access.

Mexico's *canasta básica* ("basic basket") program is instructive here. Rather than narrowly targeting supermarket prices, it defines a basket of essential goods and seeks to ensure their affordability through a combination of instruments: income support, minimum-wage policies, coordination with producers and retailers, and selective price stabilization. Though it still partly relies on agreements with firms, it does so within a broader social-policy framework.

Similarly, Brazil has focused less on capping retail prices for a basic food basket and more on shaping access through income and fiscal-transfer policies, public procurement and supply coordination, and direct food provision.

In each case, affordability is ensured not only through prices but through the institutional organization of access to essential goods. Crucially, these strategies recognize that affordability is shaped as much by purchasing power as by prices themselves. The takeaway—for developed and developing countries alike—is that the state should intervene via income, provisioning, and production channels, rather than at the point of sale.

In the UK's case, this would require moving beyond voluntary price caps toward a coordinated strategy that addresses the structural squeeze on household budgets. That means strengthening income support for low- and middle-income households, reducing the burden of housing and utility costs, and engaging upstream suppliers across the food system to stabilize key inputs. Rather than negotiating marginal price reductions with retailers, the state would define essential needs and deploy policy tools across the relevant sectors to ensure that they are met.

Such a change would alleviate immediate pressures while building a more resilient and equitable system for the provision of basic goods. Without it, policies like voluntary price caps offer only the illusion of control and risk reproducing the very dynamics that generate vulnerability, corporate concentration, weak regulation, and disappointing outcomes.

8. The Coming Vote for Europe's Soul

Author: Kevin Hjortshøj O'Rourke | **Date:** May 21, 2026 | **Original:** <https://www.project-syndicate.org/commentary/eu-trump-trade-agreement-meps-must-not-ratify-by-kevin-hjortshoj-o-rourke-2026-05>

PARIS—When Donald Trump unveiled his famous “reciprocal tariff” scorecard last April, most of the commentary focused on the sheer scale of the levies that he was imposing on the rest of the world. But more shocking was the extent to which the tariffs discriminated by country—a flagrant violation of the very first article of the General Agreement on Tariffs and Trade (GATT), the precursor to the World Trade Organization.

It is this principle—now enshrined in the WTO’s Most-Favored-Nation clause—that underpins the entire global trading system, and it must guide European lawmakers in the coming weeks, when they decide whether to ratify the trade agreement reached between Trump and European Commission President Ursula von der Leyen last year.

Non-discrimination was embodied in the very first article of the GATT for a reason. It reflected the painful lessons that policymakers had learned from two world wars and the tension-filled decades between them.

When different tariffs are levied on similar goods originating in different countries, the ensuing price differences can significantly distort international trade patterns. Trade flows end up being redirected from their natural routes, which reflect underlying patterns of comparative advantage, toward pathways created by politicians to favor some party at the expense of others.

Such behavior naturally creates resentment. As the economist Jacob Viner (who taught Milton Friedman at the University of Chicago) wrote back in 1924, “It was precisely to bring about equality of treatment and to eliminate the economic disadvantages, the ill-feeling, and the diplomatic bickering resulting from such discriminations that the use of the most-favored-nation clause became common.”

The Great Depression and trade protectionism of the ensuing 15 years underscored the political danger to which Viner had alluded. The European empires adopted discriminatory tariff and quota policies to foster intra-imperial trade and reduce imports from outside their respective trade blocs, and recent research using modern empirical techniques and commodity-level data on trade and trade policy shows that they succeeded in this aim. For example, during the 1930s, the British Empire increased its share of UK imports by a little over ten percentage points, with roughly two-thirds of the increase directly attributable to discriminatory British tariffs, or “imperial preference.”

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Meanwhile, retaliation against the 1930 US Smoot-Hawley tariff may have cut US exports to affected markets by as much as 30%. Countries like Japan found themselves systematically discriminated against in key markets around the world. The decline of multilateralism and the rise of trade within geopolitically defined blocs raised doubts among countries without privileged access about whether they would be able to secure the raw materials they needed.

None of this was conducive to international harmony. After US President Franklin Delano Roosevelt came to power, his secretary of state, Cordell Hull, pointed to World War I as a warning about how protectionism and discrimination can create the kind of “economic dissatisfaction that breeds war.”

That is why the United States insisted, in 1941, that the Atlantic Charter include a postwar commitment to promote “the enjoyment by all States, great or small, victor or vanquished, of access, on equal terms, to the trade and to the raw materials of the world which are needed for their economic prosperity.” It is why the non-discrimination principle in Article 1 of the GATT has been at the heart of international trade law ever since. And it is why the current retreat from the principle is more dangerous than many seem to realize.

Who can doubt that discriminatory US tariffs have led to precisely the sort of ill feeling and diplomatic bickering that Viner described? It is clear that Trump is unwilling to accept any constraints on his exercise of power, even though the US Supreme Court has struck down the legal basis for his Liberation Day tariffs. And it is equally clear that the Trump administration will continue to cherry-pick those bits of international trade law that serve its own political purposes—such as the protections provided to US intellectual-property rights—while ignoring those that do not.

What is more surprising is that the European Union is collaborating with Trump’s effort to destroy the legal framework that has governed international trade since the 1940s. By eliminating tariffs on certain US exports to the EU in exchange for a US tariff cap of “only” 15% on EU exports, the EU is reneging on its own most-favored-nation obligation to other WTO members.

The European Commission has been keen to remind everyone that “a deal is a deal, and the EU honors its commitments.” Yet it is the EU that is now breaking the most fundamental international trade deal of all—hardly evidence that the bloc is serious about playing a constructive role at the heart of a group of like-minded countries that remain committed to international law.

The upcoming vote on the US-EU trade framework offers an opportunity for the European Parliament to stand up for the principles that Europeans profess. The opportunity costs of rejecting the deal are a fraction of what they seemed to be a year ago. The costs of not doing so—the blow to Europe’s standing in the world, and to Europeans’ own understanding of who we are and the European project’s purpose—would be enormous.

9. Why Are China's Young People Fed Up?

Author: Yi Fuxian | **Date:** May 21, 2026 | **Original:** <https://www.project-syndicate.org/commentary/china-demographic-reckoning-lying-flat-youth-unemployment-low-family-formation-by-yi-fuxian-2026-05>

MADISON—For several years now, a significant share of young Chinese people, disillusioned with their economic prospects, have embraced “lying flat,” a principled rejection of careerist competition (the proverbial “rat race”). Since such attitudes do not bode well for the country’s economic future, Chinese authorities have responded by portraying the movement as a foreign-backed effort to undermine national development and morale.

This is not a new tactic. When I spearheaded opposition to China’s one-child policy, I was accused of colluding with hostile foreign interests to undermine the country through overpopulation. Now that China’s population decline is undeniable, I am accused of exaggerating the crisis and bashing China.

In fact, “lying flat” is a direct result of the one-child policy. Just as biological homeostasis—avoiding deviations in blood pressure or blood sugar, for example—is necessary to prevent illness or death, so economic homeostasis requires maintaining the right balance between consumption and production. Introduced in 1980 in the belief that a smaller population would improve employment, the one-child policy produced the opposite result. By reducing children—well-known “super-consumers”—it weakened household bargaining power, driving the share of household disposable income in GDP from about two-thirds in the 1980s (broadly in line with peer economies) to just 44% today.

That is why Chinese domestic consumption and job creation remain subdued. Faced with less income accruing to households and a weak social safety net, many workers are compelled to log longer hours to make ends meet. And competition for employment is so intense that those who hold a job feel pressure to work overtime just to keep it. As a result, the average Chinese work week has risen to around 49 hours—and as high as 60 hours in some cases—compared to 38 hours in the United States, 33 in Germany, 37 in Japan, and 42 in Vietnam.

Moreover, Chinese youth unemployment (ages 16–24) is especially high, reflecting a mismatch between surging higher-educational attainment and an underdeveloped services sector. Policies promoting a “talent dividend” and “new productive forces,” along with family pressures, have increased the number of annual graduates from 1.01 million in 2000 to 12.22 million in 2025. Yet weak consumption still limits the growth of the services sector—the main employer for recent graduates—to just 47% of jobs, far below the 70–80% typical of advanced economies with similar levels of higher education.

After China’s youth unemployment rate hit 21.3% in June 2023, the government halted data releases for months before issuing revised, lower figures. But this obviously did not change the harsh underlying reality. During last year’s civil-service exams, 2.8 million applicants competed for just 38,100 positions. With the job market so bleak, some universities are adopting “educational downshifting,” offering vocational training to undergraduates and encouraging PhD candidates to

pursue more employment-oriented master's degrees. No wonder graduates who can rely on financial support from their one-child families are "lying flat."

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But "lying flat" reflects privilege. Among the millions of young Chinese who can neither find stable employment nor rely on family support, many have been forced into the gig economy, working as food deliverers, ride-hailing drivers, couriers, or live-streamers. China now has about 240 million flexible workers—nearly one-third of its labor force.

Yet heavy investments in AI, robotics, drones, and autonomous driving are already squeezing these jobs, pushing unemployment among those aged 25-29 to a record 7.7% in March—a trend that is likely to accelerate. Worse, unlike in the US, where AI adoption may ease persistent inflationary pressures, China's aggressive push into AI will intensify deflationary pressures alongside already weak consumption.

Of course, China's combination of too few consumers (children), low household incomes, and long working hours has also pushed hundreds of millions of workers into export-oriented manufacturing. The decline in household income as a share of GDP mirrors the expansion of state fiscal capacity and extensive industrial subsidies, which have produced a pathological manufacturing boom—akin to hypertension and hyperglycemia in the human body. Hence, China now accounts for about 17% of global GDP and 28% of global manufacturing value-added, but only 12% of global household consumption.

A more balanced economy would be healthier for both China and the world. China's export-driven model has harmed manufacturing abroad, especially in the US, its largest export market. The US has responded by imposing tariffs, cutting its share of goods imports from China to 8%, down from 22% in 2018. If other countries follow suit, the five million-plus STEM graduates that China produces annually for manufacturing may struggle to find jobs.

These weaknesses undercut the argument that China's "engineer-led governance" model is worthy of emulation. If anything, its manufacturing success and infrastructure achievements reflect a continuation of the status quo. It is China's strong state control over resources that enables rapid mobilization toward specific goals—often at the cost of social and economic homeostasis. The Qin Dynasty (221-206 BC), which pioneered this approach and built the Great Wall, lasted only 15 years. The Communist Party of China's Great Leap Forward and one-child policy then followed the same logic.

Today's manufacturing boom likewise comes at the cost of demographic and even civilizational sustainability. China's household income share is so low that many families struggle to raise even a single child. Long working hours deprive young people of time to build relationships. The government's pursuit of "new quality productive forces," together with "educational downshifting," is narrowing the window for family formation, leading to delayed marriage, rising singlehood, and lower

fertility. High youth unemployment further discourages marriage while eroding the financial capacity to raise children. China's share of global manufacturing may have risen from 3% in 1990 to 28% today, but its share of global births has fallen from 17% to 6%, and it is projected to drop below 3% by 2050.

China is churning out everything except the people it will need to sustain its economic development over time. The problem is not that Chinese youths are lying flat. It is that the country's leaders are lying to them—and to themselves.

10. The Myth of the Deserving Billionaire

Author: Teresa Ghilarducci | **Date:** May 21, 2026 | **Original:** <https://www.project-syndicate.org/commentary/opposition-to-wealth-taxes-rests-on-a-flawed-assumption-by-teresa-ghilarducci-2026-05>

TEMPE—In 1981, President Ronald Reagan wanted to cut funding for children’s nutrition programs as part of broader spending cuts that were billed to balance the budget while slashing taxes, particularly on the wealthy. School administrators suddenly needed to cut corners on federally subsidized school lunches, so the United States Department of Agriculture (USDA) proposed allowing them to classify condiments like ketchup and pickle relish as vegetables.

The public howled, and the rule was withdrawn. Nevertheless, the episode lodged itself in America’s political memory as a manifestation of a bleak reality: when the rich get tax cuts, it is often the poor who pay.

US policymakers, however, never really learned their lesson. Reagan’s 1981 tax legislation slashed the top marginal rate from 70% to 50% and cut capital-gains taxes from 28% to 20%, while delivering only modest relief to those in lower income brackets. Because the lost revenue had to come from somewhere, services for the poor were targeted.

While the reclassification of condiments as vegetables did not survive, other changes to the National School Lunch Program—reduced subsidies and tightened eligibility—have persisted. Other programs supporting lower-income households, from food stamps to Medicaid, were also scaled back.

The One Big Beautiful Bill Act, which President Donald Trump signed into law on July 4, 2025, replicates this dynamic, but on a larger scale. The OBBBA extends and expands tax breaks, especially for the wealthiest households, while delivering the largest-ever cuts to programs serving low-income households. The Congressional Budget Office (CBO) estimates that the income of the bottom 10% of US households will fall by 3.1% by 2034 as a result of the legislation, while that of the top 10% will increase by 2.7%.

Among the cuts included in the OBBBA are \$863 billion in federal funding for Medicaid and \$295 billion in funding for the Supplemental Nutrition Assistance Program over ten years. As a result of the legislation, the CBO expects 10.9 million Americans to lose their health insurance by 2034, and the USDA reports that SNAP benefits for some four million people have already been reduced or ended. Even more households will suffer if states reduce or end their participation in response to the legislation’s requirement that they pay a share of SNAP’s costs.

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And what does all this cruelty achieve? Fiscal consolidation certainly cannot be the goal: The CBO expects the OBBBA to increase the federal deficit by \$2.8 trillion by 2034.

But a backlash is brewing, and it is increasingly taking the form of calls for wealth taxes. The California 2026 Billionaire Tax Act, which would impose a one-time 5% wealth tax on the state's roughly 200 billionaires, gathered almost 1.6 million signatures by April 2026—nearly double the number required to qualify for the ballot. It is explicitly framed as a response to OBBBA-driven cuts to California's Medicaid program (Medi-Cal) and food assistance.

Not everyone is on board with the idea, to say the least. Steven Roth, the billionaire chairman and CEO of Vornado Realty Trust, used his company's May 5 earnings call to complain that criticism of high earners unfairly portrays the wealthy as “evil” or “suckers,” when they “should be praised and thanked.” He even compared the phrase “tax the rich” to “racial slurs.”

The economist Michael R. Strain of the conservative American Enterprise Institute has offered a more considered case against taxing the ultra-wealthy. He argues that wealthy people become so not by taking from others, but by “generat[ing] new wealth”—and keeping a “small slice for themselves.” However much they are worth, they have created far more than that in “value for the rest of society.”

Strain's argument, like Reagan's tax cuts and the OBBBA, reflects a durable belief: the wealthy are fundamentally deserving—smarter than average, creators of jobs, and, often, generous. Research consistently finds that the wealthy are assumed to be hard workers, even though, as Paul Johnson and Howard Reed showed three decades ago, the best predictor of wealth is the economic standing of one's parents. Even when the wealthy engage in tax avoidance, studies find that the public tends to blame the government for leaving loopholes open.

While the rich get the benefit of every doubt, the poor are viewed as requiring discipline. When they receive benefits, they face intense scrutiny of their character and choices. SNAP and Medicaid recipients face work-documentation requirements, biannual eligibility re-verification, and the prospect of state-level program collapse. Many states prohibit SNAP benefits from being used for foods deemed unhealthy. Why, then, don't corporations have to prove that accelerated depreciation led to more investment, even as they use it to unlock significant tax savings?

But the US might be approaching a ketchup moment. While 55% of Americans say their financial situation is deteriorating—the highest share in a quarter-century—the wealth of the top 1% is reaching record highs. Against this backdrop, defending billionaires from “oppressive” taxation is politically convenient nonsense, akin to describing a sugary condiment as a nutritious vegetable.

I agree with the wealth-tax critics on one point: there is, in theory, a tax rate high enough to drive the wealthy from the US. But there is little reason to think that the country is remotely close to hitting it. After all, the US tax-to-GDP ratio is about 25%, compared to an OECD average of around 34%.

A study conducted by US President Joe Biden's administration found that, when unrealized gains are included, the top 400 billionaire families paid an effective federal tax rate of just 8.2% between 2010 and 2018, compared to 13% for the average American taxpayer. Nearly every developed country taxes its citizens at a higher rate. So, where would billionaires go?

11. The US and China Must Learn to Coexist

Author: Pinelopi Koujianou Goldberg | **Date:** May 20, 2026 | **Original:** <https://www.project-syndicate.org/commentary/toward-a-more-pragmatic-us-china-relationship-by-pinelopi-koujianou-goldberg-2026-05>

NEW HAVEN—The recent summit between Donald Trump and Xi Jinping in Beijing produced no major breakthroughs on tariffs, Taiwan, or ongoing geopolitical conflicts like the Iran war, prompting many observers to dismiss it as inconsequential. Yet its restrained and cordial tone suggested a new, more pragmatic approach that implicitly acknowledges the two countries' deep economic interdependence. The American and Chinese presidents were not viewing the bilateral relationship solely through the lens of geopolitical competition.

Recognizing China as a formidable economic competitor is not a concession; it is simply an acknowledgment of reality. Over the years, the debate in the United States over China's rise has followed a familiar pattern: denial, anger, and eventual acceptance. During the era of double-digit Chinese growth, many US analysts dismissed official Chinese statistics as unreliable or inflated. As China's economic transformation became difficult to ignore, its success was often attributed to industrial policy, imitation, and unfair practices, including intellectual-property theft and currency manipulation.

But those narratives are harder to sustain now that China has reached the technological frontier in several strategic industries. Most notably, Chinese electric-vehicle manufacturers have emerged as major global competitors across a broad range of market segments, from low-cost models to increasingly sophisticated premium brands. In pharmaceuticals, Chinese firms have evolved from imitators into innovators, shedding the old "free rider" label. And in semiconductors, China has made significant strides in producing advanced chips, though it still trails behind global leaders like TSMC.

These advances are the product of a sweeping transformation rather than any single policy or industrial strategy. Instead of focusing primarily on slowing China's technological progress, the US should accept that Chinese competition is here to stay and establish frameworks for economic coexistence and limited cooperation.

One key priority should be securing US firms' access to Chinese markets. The prominent American CEOs and business leaders that accompanied Trump to Beijing underscored the message that, although the era of deep economic integration may be ending, complete decoupling is neither realistic nor desirable. A more plausible path lies in selective interdependence and continued engagement in sectors where mutual gains remain substantial.

Xi, for his part, has characterized the bilateral relationship by invoking the "Thucydides trap," a term coined by the political scientist Graham Allison to describe the risk of conflict when a rising power (in Thucydides's case, Athens) threatens to displace an established one (Sparta).

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But the analogy is imperfect. Despite the many challenges the US faces—some of them resulting from its own decisions—it is far too early to describe it as a declining power. America remains the world's leading center of innovation and entrepreneurship, producing many of the transformative technologies of the past century, from computing and the internet to smartphones and AI. While talent exists everywhere, no other country matches its combination of scientific leadership, deep capital markets, entrepreneurial culture, and institutional flexibility. As billionaire investor Warren Buffett once observed, “no one has ever been a success betting against America since 1776.”

Moreover, China's technological prowess should not obscure the fact that it remains a middle-income country in per capita terms. Despite its vast economic scale, average living standards remain well below those of advanced economies. The country also faces powerful structural and demographic headwinds as it seeks to sustain long-term growth.

Still, the Athens-Sparta analogy offers an important lesson, as the Peloponnesian War ultimately weakened both sides. Today's economic competition between the US and China need not lead to the same outcome, provided the two powers avoid escalation and preserve channels for cooperation in areas where they have a mutual interest.

While a more cooperative US-China relationship may appear unrealistic to many, history offers numerous examples of former rivals eventually reaching a lasting political accommodation. In the fifth century BCE, the idea that Athens and Sparta might one day coexist peacefully would likely have been laughed off as naive, if not fantastical. But the bitter rivalry that once divided ancient Greece is now part of a shared national history. Likewise, in the aftermath of World War II, few could have imagined the degree of political and economic integration Western Europe would achieve after centuries of devastating conflict.

Ultimately, what matters is not which country sits at the top of the global order, but whether political and economic systems improve their citizens' well-being. In this respect, the US and China face a set of common challenges: managing rapid technological change, adapting labor markets to AI, maintaining financial stability, addressing persistent and emerging inequalities that threaten social cohesion, and tackling climate change.

Progress on these issues will require greater cooperation between the world's two largest economies. Neither side can afford a zero-sum race for supremacy.

12. A Blueprint for Britain's Revival

Author: Jim O'Neill | **Date:** May 19, 2026 | **Original:** <https://www.project-syndicate.org/commentary/blueprint-for-britains-revival-by-jim-o-neill-2026-05>

LONDON—Given UK Prime Minister Keir Starmer's flailing effort to stay in power despite his party's huge losses in local elections this month, it should come as no surprise that the country's mood is darkening. Many are now wondering if the United Kingdom has simply become ungovernable, implying that the current economic sclerosis will only get worse.

But in the spirit of never letting a crisis go to waste, I still see an opportunity for someone to step forward and offer a bold vision for the country. As I explained this past December, the UK does have some good things going for it, but it will not escape the hole it has dug for itself unless it slays five sacred cows—issues that Britain can no longer afford to postpone addressing.

One of the positives, I noted, was Greater Manchester's marked economic improvement over the past 15 years—an outcome made newly relevant by the rise of its mayor, Andy Burnham, as a potential challenger to Starmer within Labour. As the annual regional gross-value-added data show, Greater Manchester—not just Manchester itself—has outperformed the overall UK economy considerably, growing at close to three times the rate of London.

Burnham deserves a lot of credit for this. Although he did not launch all the initiatives that lay behind Manchester's relative success, he did embrace the opportunity those initiatives had created. He is right to point to his city as evidence that other important regions could someday enjoy the same success. By accelerating the devolution of power to the regions—including control of certain levers that the central government has been reluctant to surrender—a future national government could create the conditions for a national revival.

The second positive development was the underperformance of the London housing market relative to the rest of the country. A continuation of this trend would imply that some problems stemming from social and geographic immobility are sorting themselves out. The more opportunities that Britons have outside of the unaffordable London metropolitan area, the better.

But even if these trends continue, the UK will need a national leader who is not afraid to take on the economy's toughest challenges, and who is not obsessed with the daily signals emanating from social media, opinion polls, and the Westminster bubble. Far from being politically damaging, decisiveness on the issues that truly matter will kickstart economic growth and deliver improvements to people's standards of living.

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One such issue is housing. Why has no UK government followed economists' advice and overhauled the system to tax land itself, rather than what sits on the land? That one change could restructure the entire housing market, generating a boom in construction activity that would in turn boost economic confidence more broadly.

A second big issue—one where another Starmer challenger, Wes Streeting, deserves some credit—concerns trade with Europe. Even if the UK does not rejoin the European Union, getting as close as possible to the continent is a no-brainer. Brexit has had obvious, ongoing negative consequences in terms of trade, investment, the labor supply, and other issues. Outside of Reform UK (Nigel Farage's right-wing populist party), no one takes the juvenile EU bashing seriously anymore.

The third problem that desperately needs to be addressed is the “triple lock”: the requirement that state pensions rise annually “in line with either inflation, wage increases, or 2.5%—whichever is highest.” Why are politicians from all the major parties so terrified of changing this nonsensical rule?

Whenever I pose this question, I am told that doing so would be unfair, unaffordable, or an act of political suicide (pensioners are the most reliably engaged voting bloc). But I refuse to believe that a sufficiently talented politician could not make the case for reform. After all, how can we ever expect young people to be optimistic about their economic prospects when they are priced out of home ownership and forced to pay more in taxes to protect older voters, 74% of whom own their homes outright (with no mortgage)?

Finally, wouldn't it be remarkable if Labour—the traditional champion of the working class—became the party that finally tackled the rising costs of social insurance (the fourth big issue) and the National Health Service (the fifth)? As I noted previously, welfare payments are so easily gamed that there are now millions of people claiming multiple benefits and receiving annual incomes above what they would earn by working a minimum-wage job. Moreover, the NHS has long been consuming a rising share of GDP with nothing to show for it.

Any politician who tackles these issues with the ambition that they demand would trigger a massive rally in long-term UK bond prices, an associated reduction in long-term borrowing costs, an upward revaluation of the UK equity market, and a much-needed boost in business and consumer confidence. The opportunity is there. The UK needs a leader who is willing to seize it.

13. Africa Is the Key to Sustained Global Growth

Author: Hippolyte Fofack | **Date:** May 18, 2026 | **Original:** <https://www.project-syndicate.org/commentary/africa-youth-bulge-industrial-potential-could-drive-global-growth-in-21st-century-by-hippolyte-fofack-2026-05>

WASHINGTON, DC—More than 50 years after decolonization, the West still regards Africa as a supporting player in the global economy: a source of raw materials and little else. This outdated view has hampered Africa's development of high-value manufacturing industries and integrated supply chains, impeding economic growth. As a result, disparities in per capita income between Africa and other regions have increased, and the continent's share of global trade has fallen below 3%, even though Africa accounts for almost one-fifth of the world's population.

But as more countries cross the “super-aged” threshold, with more than 20% of the population aged 65 and older, the international community should be increasingly motivated to stop placing Africa in a peripheral role. The world economy needs new drivers of demand, and Africa is uniquely suited to fulfill that need. In fact, Africa's demographic dynamism, together with its enormous infrastructure investment needs, mean that it should play an increasingly central role in global trade and investment in the coming years.

Africa's demographic momentum is unmatched. Its population is expected to approach 2.5 billion by 2050. At that point, Nigeria is projected to be the world's third-most-populous country, surpassing the United States and ranking below only India and China. By the end of the century, nearly 40% of the world's population is set to be African.

More importantly, Africa will account for most of the net growth in the global working-age population, as countries in most other regions confront shrinking labor forces and rising dependency ratios. Recent data show that economies with population growth above the global average of 1% have experienced an average real GDP growth rate of 3.1%, while those with negative population growth have achieved only 1.4%. African GDP is already growing above the world's average, and most long-term forecasts indicate that the continent's strong demographic tailwind will help power the global economy.

While economic growth requires an optimal mix of capital, labor, and technology, the mutually reinforcing interaction between job creation and rising consumer spending is often at its core. Historically, demographic strength has supported human-capital development, sustaining the expansion of domestic demand, which accounts for more than two-thirds of US GDP and over half of Canadian GDP.

In this context, Africa's youth bulge is a major asset in terms of both labor supply and new demand. Whereas consumption growth has slowed in the advanced economies, owing to demographic stagnation, it is expanding in Africa, as rapid urbanization creates new consumer markets and incomes gradually rise. By 2050, hundreds of millions of Africans are expected to join the middle class, and

consumer and business spending on the continent is projected to reach \$16.1 trillion, creating significant demand for goods and services.

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Africa also has enormous potential for structural change. As the world's least-industrialized continent, contributing less than 2% of global manufacturing, Africa offers the greatest opportunities for productivity gains and per capita income growth. Bauxite is a case in point: what is worth \$874 billion at the mine gate becomes \$5.2 trillion when refined into alumina, and up to \$15.4 trillion when smelted into aluminum. Processing raw commodities on the continent, rather than exporting them, offers a vast economic opportunity.

Seizing this opportunity will require efforts to address Africa's infrastructure deficit. Increased spending on infrastructure, particularly in the construction, mining, manufacturing, and services sectors, would set the stage for long-term productivity gains. The scale of the gap implies that sustained investment could drive growth momentum for decades, with huge positive spillover effects for the global economy.

With sufficient financing for infrastructure, human-capital development, and policy reforms, Africa can achieve large-scale industrialization, transform its population growth into sustained economic dynamism, and generate a powerful demographic dividend for the global economy. The implementation of the African Continental Free Trade Area is a key step toward catalyzing this structural transformation, because a more integrated market bolsters cost advantages and spurs industrial growth. Manufactured goods would first scale through AfCFTA-enabled regional demand and then expand into global markets as Africa becomes more competitive.

With its rapidly growing population, large and untapped consumer markets, industrialization potential, immense resource wealth, and pursuit of regional economic integration at scale, Africa holds the future of global growth in its hands. As more advanced economies face structural problems, Africa is the largest remaining reservoir of transformative growth potential.

But if African countries are to form a pillar of 21st-century global economic expansion, they need the support of effective policies. The stakes are high: if the continent's potential is not realized, the aging world will struggle to sustain prosperity. Africa's success is thus no longer a regional issue, but rather a global imperative.

14. The World Economy After the Trump-Xi Summit

Author: Shang-Jin Wei | **Date:** May 15, 2026 | **Original:** <https://www.project-syndicate.org/commentary/trump-xi-summit-offers-some-clarity-for-the-world-economy-by-shang-jin-wei-2026-05>

SINGAPORE—The optics of this week's summit between Donald Trump and Xi Jinping were carefully staged to signal parity between the United States and China. Trump, the first US president to visit mainland China in nearly a decade, was accompanied by an entourage of American CEOs—including Tesla's Elon Musk (with his son X), Apple's Tim Cook, Boeing's Kelly Ortberg, and Nvidia's Jensen Huang—whose businesses rely on maintaining good relations with the People's Republic. They were duly given a grand welcome in the Great Hall of the People.

But the summit's (less photogenic) substance may matter more. If the meeting cements two outcomes—a longer-lasting Sino-American trade truce and a path to reopening the Strait of Hormuz—it will give the world economy something it has lacked for the past year and a half: a reduction in tail risks.

On the matter of trade, the October 2025 Busan agreement between the US and China did halt implementation of most of Trump's punitive tariffs, with China agreeing to ease its rare-earth export controls. The economic implications of a summit-level agreement to extend this truce through 2027 would be difficult to overstate. China processes roughly 85% of the world's rare earths and over 90% of its rare-earth magnets—inputs in every electric vehicle, wind turbine, F-35 fighter jet, and Nvidia AI accelerator (an advanced data-processing platform). A stable supply removes a binding constraint on multiple Western industries at once.

The likely winners are easy to identify. Boeing, starved of Chinese orders since 2019, may finally receive the type of headline-making aircraft purchase that Trump can boast about back home. Apple would gain a more reliable supply of rare-earth magnets for everything from speakers to camera modules. Tesla would benefit from clearer rules for its Shanghai gigafactory, which now produces more than half of its global output. And American farmers—a constituency Trump cannot ignore—would regain access to the Chinese soybean and grain import markets, which quietly redirected their orders to Brazil and Argentina.

For China, the most immediate benefit is greater predictability. The greatest costs incurred over the past year and a half came not from any particular US policy or statement by Trump, but from the cloud of uncertainty that he has cast over the global economy. A stabilized regime would allow for companies around the world—not least Chinese exporters—to resume normal corporate planning.

The second potential dividend concerns the Strait of Hormuz. The International Energy Agency has described Iran's effective closure of the Strait as the largest supply disruption in the history of the global oil market. The global oil price is now about 50% higher than it was before the US-Israeli war on Iran began. Roughly 20% of seaborne oil and liquefied natural gas normally pass through the Strait, and in 2024, 84% of that crude went to Asia, with nearly 70% destined for China, India, Japan, and South Korea.

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Thus, the pain has been unevenly distributed. Bangladesh faces what some analysts describe as recession-like conditions. Pakistan and Vietnam are rationing energy. Asian airlines have surcharged fares in response to higher fuel costs. And with over 30% of urea normally routed through Hormuz, fertilizer prices have raised food-security alarms from Cairo to Manila.

If the summit creates the conditions for a sustainable reopening of the Strait—with China pressuring Iran as its largest oil customer, and the US lifting its counter-blockade of Iranian ports—the global economy would regain roughly one-fifth of its hydrocarbon supply. The worst-hit emerging economies would benefit immediately from lower oil prices, fertilizer costs, and shipping insurance premiums.

Still, three caveats are in order. First, China’s relaxation of its rare-earth export controls will remain partial, in order not only to deter future US tariff escalations and export controls, but also actions by Europeans and others to support such US measures or introduce their own. To prevent others from building up large stockpiles, China will probably maintain sufficient rare-earths exports to support current use, but not strategic hoarding.

Second, whatever happens with the Strait of Hormuz will rest on a ceasefire that has proved fragile. Iran has demonstrated that it can close Hormuz at will, and that knowledge will not be unlearned. Lastly, any bargain struck at the summit could be undone when America’s famously mercurial president returns to Washington.

In any case, the most important result of the summit may be one that the headlines miss. For a year and a half, corporate decision-making—about where to locate plants, how much inventory to carry, which suppliers to diversify toward, whether to hire—has assumed that the global trading system is progressively fragmenting. The costs of this calculation are evident everywhere, from the Chinese auto giant BYD’s new plants in Thailand and Vietnam, to TSMC’s \$165 billion commitment to a semiconductor fab in Arizona, Apple’s shift of iPhone assembly to India, and the duplication of capacity across many other sectors.

A stable US-China economic relationship would not reverse those decisions (many geopolitical considerations are here to stay), but it would slow the next round of fragmentation. Firms that have been building two of everything could strike a better balance between efficiency and resilience.

Trump’s trip to China, and Xi’s planned visit to the US in September, will not end the era of strategic competition. But if these summits lower the probability of accidents or escalations—an expansion of the US chip embargo, a sudden stop of rare-earth shipments, or a shipping crisis spiraling into something worse—they will have done more for the world economy than most recent summits have. In a year when so much has gone wrong, that is a welcome prospect.

15. A Defining Moment for Central Asia

Author: Djoomart Otorbaev | **Date:** May 14, 2026 | **Original:** <https://www.project-syndicate.org/commentary/uzbekistan-uznif-ipo-marks-turning-point-for-central-asia-economy-by-djoomart-otorbaev-2026-05>

BISHKEK—The upcoming IPO of Uzbekistan’s National Investment Fund (UzNIF) marks a turning point for Central Asia. With \$2.4 billion in assets and a valuation of \$1.95 billion—implying a discount of roughly 20%—the offering is intended to do more than raise capital. Uzbekistan wants to establish its credibility as an investment destination.

But the IPO also represents a regional milestone. For the first time, a Central Asian country is offering international investors a diversified basket of strategic assets through a London Stock Exchange listing overseen by a major global asset manager.

At its core, the UzNIF IPO will test whether international investors are willing to view Central Asia not just as a risky frontier market, but as a region with real growth potential and reliable governance frameworks.

The IPO’s structure reflects a sophisticated understanding of investor concerns. The valuation discount compensates for perceived country risk, and the choice to place the fund under the management of Franklin Templeton alleviates fears of political interference and lack of transparency. Meanwhile, an initial \$300 million commitment from anchor investors, including BlackRock and Franklin Resources, provides a stable base for secondary-market activity. Taken together, these measures directly address many of the longstanding barriers to investment in Central Asia.

Yet the significance of this IPO extends well beyond the mechanics of the deal itself. The interest it has generated highlights Central Asia’s transformation over the past three decades. What was once a peripheral region has become one of the world’s most remarkable emerging-market growth stories.

The numbers speak for themselves: over the past 25 years, Central Asian economies have grown at an average annual rate of 4.8%, far outpacing the global average of roughly 3.4%. Over the same period, the region’s economy has roughly tripled in real terms.

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The past five years have underscored the region’s resilience. Despite the COVID-19 pandemic, supply-chain disruptions, and escalating geopolitical tensions, Central Asian economies have continued to deliver solid growth. Uzbekistan, for example, has maintained annual growth rates above 5%, supported by strong domestic demand and structural reforms, including gradual liberalization. Kazakhstan, though more exposed to commodity-price fluctuations, has relied on its resource wealth

and institutional reforms to maintain macroeconomic stability. Kyrgyzstan and Tajikistan, for their part, have benefited from remittance inflows, infrastructure investment, and greater regional integration.

The region's economic performance has been underpinned by a set of structural advantages that remain widely underappreciated. Chief among them is human capital. Central Asia retains a comparatively well-educated population, reflecting the enduring legacy of Soviet-era investments in education and technical training. Literacy is nearly universal, while enrollment in tertiary education has been rising steadily.

Moreover, Central Asia's demographic profile remains highly favorable. In contrast to the aging economies of Europe and East Asia, the region's labor force continues to expand, supporting domestic consumption as productivity and incomes rise over the long term.

Geography is another major advantage. Long viewed as a constraint, Central Asia's location is increasingly viewed as a strategic asset. As geopolitical instability and conflicts like the Iran war force governments and businesses to seek alternatives to traditional maritime chokepoints, the region is emerging as a critical overland corridor connecting East and West. The so-called "Middle Corridor," which links China to Europe through Central Asia and the Caucasus, is rapidly becoming a major commercial artery, accelerating investment in rail, road, and port infrastructure.

Against this backdrop, Uzbekistan's integration into global capital markets is a defining moment for the region. The UzNIF IPO is not an isolated deal, but an early step toward building a regional equity-market ecosystem.

By consolidating minority stakes in 13 state-owned enterprises across sectors such as transport, energy, telecommunications, utilities, and banking, the fund gives investors an opportunity to invest in the Uzbek economy through a single market vehicle. More importantly, it introduces a market-based valuation benchmark—something the region has historically lacked. Over time, this could generate positive spillover effects, reducing the informational asymmetries that have long limited inflows of foreign investment.

The financial implications could be significant. If successful, the UzNIF model could pave the way for a wave of IPOs by individual companies, both in Uzbekistan and across Central Asia. It may also accelerate the emergence of hybrid financing structures that combine public assets, private capital, and international management expertise to fund large-scale infrastructure and energy projects.

In a region where limited access to financing has prevented strategically important investments, such mechanisms could unlock opportunities that have remained out of reach for decades. For example, capital mobilized through vehicles like UzNIF could be directed toward large-scale, cross-border projects such as Kyrgyzstan's Kambarata-1 Hydropower Project or the Rogun Dam in Tajikistan.

Crucially, the credibility of the UzNIF project rests on governance. By entrusting the fund's management to Franklin Templeton, Uzbekistan has effectively signaled its willingness to subject state assets to international standards of transparency, accountability, and fiduciary discipline.

This also highlights a major risk. The IPO's success will not be judged solely by initial demand or short-term price performance. Investors will watch closely for any indication of political interference,

policy inconsistency, or erosion of minority shareholder protections.

In that sense, UzNIF's IPO is as much a political test as it is a financial one. What is at stake is not simply the success of a single fund, but the potential repositioning of an entire region. If the IPO succeeds, it could help establish a new narrative in which Central Asia is defined less by risk and more by economic opportunity and financial returns. The question now is whether Uzbekistan can translate its current economic momentum into a new regional reality.

16. Europe Needs the Digital Euro

Author: Brian Judge | **Date:** May 13, 2026 | **Original:** <https://www.project-syndicate.org/commentary/europe-strategic-autonomy-depends-on-the-digital-euro-by-brian-judge-2026-05>

BERKELEY—After years of preparation, the EU’s three governing bodies—the European Parliament, the European Council, and the European Commission—are finally ready to begin formal negotiations on the digital euro. When they do, a project once conceived as a technocratic modernization of monetary infrastructure will become one of the most politically contested items on the bloc’s agenda.

The Commission and the European Central Bank (ECB) have described the digital euro as an effort to adapt fiat currency to the digital age. That framing, while incomplete, carried the project through the technical preparation phase. It will not carry it much further.

The digital euro is not merely a technical upgrade. It is a political project in the long tradition of European institution-building, and its success or failure will ultimately depend less on engineering than on whether Europe’s leaders are willing to defend it.

Resistance is likely to emerge from several directions. US President Donald Trump’s administration has adopted an openly hostile stance toward central bank digital currencies while promoting dollar-denominated private stablecoins. Russia will almost certainly treat the digital euro as another front in its hybrid war against Europe. And within the EU itself, Euroskeptics will seize on the project as proof of technocratic overreach and turn it into a magnet for conspiracy theories.

European policymakers have spent years laying the technical groundwork for the digital euro. They must now approach the political struggle over its future with the same rigor.

For nearly 80 years, Europe has pursued what the late British historian Tony Judt described as the construction of collective capacity to compensate for individual weaknesses. The European Coal and Steel Community, the common market, the single currency, the Schengen Agreement, and EU enlargement—each was an act of political will that helped turn the catastrophe of World War II into a durable system of shared institutions. Taken together, these efforts constitute one of the most successful political experiments in modern history.

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But Europe’s decades-long integration project is under immense strain. As Russia continues to wage war on Europe’s liberal democracies, American security guarantees can no longer be taken for granted. Meanwhile, China is reshaping global trade in ways that pose an existential threat to Europe’s industrial base.

As German historian Kiran Klaus Patel has argued, the EU's self-image has often outpaced its actual achievements. In practice, integration has been uneven, fueling resentments that far-right parties across the continent have exploited to gain power and undermine the European project.

For many Europeans, "Europe" registers less as a political community than as a distant abstraction—a source of regulations, constraints, and acronyms that rarely improve daily life. The freedoms European integration has delivered are real but easily taken for granted. The costs, by contrast, are concrete and easy to resent. Any political project sustained by elite consensus and treaty law would be inherently fragile.

At the heart of this fragility is what the late German philosopher Jürgen Habermas described as the "lure of technocracy": the temptation to advance European integration through mechanisms that circumvent the democratic publics in whose name it is pursued.

The digital euro, conceived by experts in Frankfurt and Brussels, risks falling into the same trap, because decisions that are technically sound but poorly understood are easy targets for political attacks. A recent Bundesbank survey underscored the problem, finding that only 42% of Germans had heard of the digital euro, and just a quarter of those could accurately explain what it is.

Habermas, however, pointed toward a remedy: a shared European identity grounded in broad participation in common institutions. The digital euro could provide precisely that kind of shared experience. Most forms of European integration, from regulatory harmonization to fiscal rules, remain invisible to ordinary citizens. But a digital currency would allow hundreds of millions of Europeans—most of whom know little about the institutional mechanics of integration—to interact daily with the same payments system, using the same interface, wherever they are in the eurozone.

The single market has proved remarkably easy for American companies to dominate. About two-thirds of the eurozone's credit-card transactions rely on Visa and Mastercard, and 13 of its 21 members lack a domestic alternative. Each transaction carries fees that function as a private tax on European commerce. The EU's current push for strategic autonomy in defense, semiconductors, and cloud infrastructure means little if it does not extend to the payment systems that underpin Europe's economy.

For a generation that has experienced integration primarily as a set of constraints, the digital euro could become a highly visible European institution that makes life easier. Few initiatives on the European agenda could demonstrate the tangible benefits of integration and cross-border cooperation as effectively.

Whether the coming years re-establish the European project for a radically reconfigured world or mark the beginning of deeper fragmentation may well depend on how the debate over the digital euro plays out. A united EU would remain a continental power uniquely committed to liberal democracy, human rights, and a sustainable future, while a fractured Europe would be far more vulnerable to external coercion.

The ECB cannot make the political case for the digital euro. The European Commission, national governments, and the European Parliament must do so. And they must be honest about what they are

defending: the digital euro is not simply an effort to modernize the eurozone's payments system; it is a European institution that happens to take the form of a payments system.

Policymakers must make that case clearly and forcefully. The digital euro must not become another technocratic artifact, imposed from above and widely distrusted. It must be a living expression of Europe's highest ambitions.

17. The War on Billionaires Is Dangerous Nonsense

Author: Michael R. Strain | **Date:** May 13, 2026 | **Original:** <https://www.project-syndicate.org/commentary/billionaire-tax-rhetoric-reflects-false-economics-by-michael-r-strain-2026-05>

WASHINGTON, DC—“There’s a certain level of wealth and accumulation that is unearned. You can’t earn a billion dollars. You just can’t earn that.” So claimed Representative Alexandria Ocasio-Cortez, the progressive superstar from New York who is attracting presidential buzz. Her fellow New York progressive, Mayor Zohran Mamdani, would agree. He seems to think that billionaires with second homes in New York City aren’t pulling their weight. Meanwhile, a proposed wealth tax in California seems to be motivated by a similar mindset.

How to explain this sense that billionaires are taking from society rather than contributing to it? Part of the reason is a lack of imagination. Michael Jordan (net worth: \$4.3 billion), LeBron James (\$1.4 billion), Taylor Swift (\$2 billion), Steven Spielberg (\$7.1 billion), J.K. Rowling (\$1.2 billion), and Jerry Seinfeld (\$1.1 billion) are very wealthy, but you don’t hear many complaints about it. Is that simply because the value they add to society is relatively easy to see?

Perhaps. But the value-added from successful entrepreneurs isn’t much more opaque. Bill Gates (\$102.8 billion) is very wealthy, but he has also made hundreds of millions of workers more productive by creating ever-better software. And because they are more productive, their wages are higher than they would have been without access to Microsoft software. On the consumer side of the ledger, Larry Page (\$314.9 billion) and Sergey Brin (\$290.4 billion) revolutionized internet search, mapping technology, and email—giving away services that hundreds of millions of Americans and others value at much more than the \$0 cost to them.

Ocasio-Cortez isn’t having it. “You can get market power, you can break rules ... you can abuse labor laws, you can pay people less than what they’re worth, but you can’t earn that” kind of wealth, she insists. But she is merely clarifying the failure of imagination at play. The primary issue seems not to be that some social contributions are more obscure than those of, say, George Lucas (\$5.2 billion). Rather, Ocasio-Cortez seems to assume that the economy is a zero-sum game, in which the only way for your income to rise is for mine to fall.

But this assumption is patently false. Wealthy people are wealthy not because they have taken from others, but because they have generated new wealth and kept a small slice for themselves. When the Nobel laureate economist William D. Nordhaus studied the returns to innovation, he concluded that innovators capture “only a miniscule fraction”—2.2%—of the benefits they create. Using this estimate, Jeff Bezos’s \$273 billion net worth implies that he has created \$12.7 trillion of value for the rest of society.

We got a great deal. Because of Bezos’s innovation, I no longer have to lug around a half dozen books on long trips; I can just take my Kindle. Like millions of Americans, my wife and I spend far less time

driving to physical stores than we used to. And because the goods we buy on Amazon are less expensive than those in physical stores, the purchasing power of our household income has risen.

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Mamdani, for his part, recently singled out the hedge-fund billionaire Ken Griffin when gleefully announcing his proposed tax on pied-à-terre properties valued above \$5 million. “As mayor, I believe everyone has a role to play in contributing to our city,” Mamdani said. “And some, a little bit more than others.”

Well. Griffin and his firm, Citadel, contribute much more to New York than the average citizen, though perhaps in ways that are less obvious than the creators of Amazon and Google Maps. According to a memo by Citadel’s chief operating officer, the firm’s New York employees paid \$2.3 billion in city and state taxes over the past five years. A proposed \$6 billion Park Avenue office project for Citadel would require 6,000 construction jobs. (And Griffin himself has donated \$650 million to philanthropic causes in New York.)

Moreover, like tech entrepreneurs, hedge-fund managers create value that accrues to all of society. Apart from building projects and tax revenue, firms like Citadel help to ensure that capital is allocated efficiently throughout the economy, which ultimately makes workers throughout the entire economy more productive, increasing their wages and living standards.

By contrast, Ocasio-Cortez and Mamdani’s ideas could harm the workers they claim to care about. After all, Griffin is expanding his operations in Florida in part because he is concerned that New York’s desire to target the affluent will escalate, and several prominent tech executives from California have recently staked claims in Florida as well.

Of course, if New York and California lose their competitive edge, that will be bad for New Yorkers and Californians, though not necessarily for the country as a whole. But prominent national leaders in both parties have also grown more hostile to the wealthy. On the populist-nationalist right, Steve Bannon has called for a “massive tax increase on billionaires,” while on the populist-progressive left, Massachusetts Senator Elizabeth Warren proposes a tax on “the ultra-rich.”

Such proposals always come with arguments about the economic game being rigged against typical workers and households, with the rich taking from the middle class and the poor. This is dangerous nonsense. The game is not rigged. In the US economy, people receive their just rewards. Compensation is primarily determined by productivity—effort, risk-taking, skills, and choices. Billionaires have outsize wealth primarily because the market value of their economic contributions to society warrants it.

We should celebrate their success as a message to young people. We should want more billionaires, not fewer—certain in the knowledge that they give much more to society than they take from it.

18. How I Became a Manufacturing Skeptic

Author: Dani Rodrik | **Date:** May 12, 2026 | **Original:** <https://www.project-syndicate.org/commentary/services-not-manufacturing-best-hope-for-developing-countries-by-dani-rodrik-2026-05>

CAMBRIDGE—At a gathering of academics and policymakers at Harvard this month, a participant reminded me that I had published a column 15 years ago on “The Manufacturing Imperative.” As the title suggests, the piece emphasized the importance of industrialization in driving economic growth, creating good jobs, and building a middle class. “This is one of my all-time favorite articles,” the policymaker from Africa told the audience.

There is scarcely a greater reward for a scholar than having his ideas resonate strongly with the people for whom he writes. But in this case, a gentle rebuke came along with the praise. What I had written in that column and many other places at the time seemed to conflict sharply with the arguments I was making at this conference about the limits of manufacturing.

The contradiction was real. In recent years, I have become skeptical about the viability of the traditional industrialization-led growth model. I have argued for a different model of economic growth, emphasizing the development of productive capabilities in labor-absorbing, mostly non-tradable services. I have warned policymakers in Africa and other developing regions that trying to emulate the East Asian model would produce, at best, manufacturing enclaves, with a tiny sliver of productive firms integrated into global value chains while the bulk of the labor force remains stuck in low-productivity activities.

Mexico exemplifies this outcome. As Santiago Levy, a former Mexican deputy minister of finance, pointed out at the same conference, Mexico’s exports of manufactured goods have increased more than tenfold since the country joined the United States and Canada to form the North American Free Trade Agreement (NAFTA) in 1994. At the doorstep of a giant market and with policymakers determined to promote foreign trade and inward investment, few countries were blessed with better circumstances for export-oriented industrialization. Yet Mexico’s overall economic performance has been dismal, even by undemanding Latin American standards, with a declining productivity trajectory.

What made manufacturing the powerful economic escalator it used to be was that it could employ large numbers of low-skilled workers while making limited demands on low-income countries’ governance and infrastructure. Today’s manufacturing is different. Competing successfully on world markets and with China at home requires skills, technologies, and other capabilities that are in short supply in poor countries—precisely because they are poor. Manufacturing no longer offers a shortcut that sidesteps these fundamental constraints.

The result is that even when countries manage to pull more workers into manufacturing, this happens through the expansion of small-scale, mostly informal enterprises and at the expense of productivity. This is the story of industrialization in Ethiopia, which once represented the hope that the East Asian model could be transplanted in Africa. Expansion of manufacturing employment and an increase in

manufacturing productivity used to go hand in hand in early industrializers such as Japan, South Korea, and Taiwan; they now move in opposite directions in Ethiopia, Bangladesh, India, and even Vietnam.

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I became a manufacturing skeptic reluctantly. The evidence was hard to ignore, as manufacturing technologies became more sophisticated and the failure of countries outside East Asia to industrialize successfully became more apparent. I began to consider alternative growth strategies not because I came to think of broad-based industrialization as less desirable, but because I became convinced it was less feasible. As John Maynard Keynes reputedly said, “When the facts change, I change my mind; what do you do, sir?”

Here is a sobering calculation. Of the two billion workers in the developing world today, I estimate that roughly three-quarters (1.5 billion) are in occupations that neither require university education nor are exposed to the international economy through trade or offshoring. These are subsistence farmers, street vendors, retail and food service workers, casual workers, and others in non-traded occupations. Their numbers will only increase in the years ahead, even if their share of the total declines somewhat.

The critical question facing policymakers is how to enhance these workers' economic opportunities. The numbers make it painfully clear that neither industrialization nor education can be the answer, as desirable as these may be. Finding ways to increase the productivity of workers in labor-absorbing services will be crucial; otherwise, gains in living standards cannot be sustained.

Non-traded services have traditionally been a drag on economic growth. Many policymakers are accordingly pessimistic about their potential. But this may be changing. Something akin to a revolution in services productivity has been underway, most visibly in advanced economies, through organizational innovations, the use of digital platforms, and other new technologies.

For developing economies as a whole, the last three decades have been a rare period of rapid economic growth and convergence with advanced economies. Remarkably, it is services, not manufacturing, that is responsible for this outcome.

As the economists Tianyu Fan, Michael Peters, and Fabrizio Zilibotti show in detailed empirical work, India's remarkable economic growth has been driven by productivity gains in consumer services such as retail and hospitality produced for local markets, not in skill-intensive, exportable services such as ICT and BPO for which the country is well known. These authors have documented a similar mechanism at work in Sub-Saharan Africa's rapidly growing economies as well.

The evidence suggests the possibility of a virtuous cycle of economic growth built on middle-class services. Expansion of the middle class shifts consumer demand toward higher-quality and more productive services, which in turn enables the rise in workers' incomes that underpins the middle class. But the process is not automatic. It requires an important role for the government in facilitating the requisite productivity enhancements.

As Rohan Sandhu of Harvard Kennedy School and I have argued, many successful experiments around the world already provide proof of concept. They include initiatives that encourage platform companies to employ local inputs and workers, assist micro enterprises with training and certification, and provide customized AI and other technological tools adapted to developing-country circumstances.

Dedicated efforts along these lines can build a more reliable, more inclusive growth model. Without them, the vast majority of workers in the developing world will be left in precarity, isolated from the high-productivity enclaves linked to the global economy.

19. Turmoil at the Fed Won't End Anytime Soon

Author: Nicolas Jabko | **Date:** May 12, 2026 | **Original:** <https://www.project-syndicate.org/commentary/radicalized-conservative-parties-responsible-for-central-bank-turmoil-by-nicolas-jabko-2026-05>

BALTIMORE—Since Donald Trump's return to the White House, he has relentlessly attacked the US Federal Reserve's independence. In his pursuit—so far fruitless—of considerably lower interest rates, Trump has sought to intimidate and fire Fed officials and pack the central bank with loyalists.

Most remarkably, Trump has turned the Fed's leadership succession into a political football. As part of the administration's bid to jettison outgoing Fed Chair Jerome Powell, the US Department of Justice opened a baseless criminal investigation into Powell, which it closed only to ensure the confirmation of his successor, Kevin Warsh.

Such outright hostility toward the Fed may seem like a personal vendetta or an American oddity. But it is neither. Rather, Trump's campaign underscores the erosion of conservative support for independent central banks worldwide.

Central bankers became conservative heroes in the 1980s, when Paul Volcker was Fed Chair. Volcker was a Democrat, but he tamed runaway inflation with a series of aggressive rate hikes. Together with his calls to cut the federal deficit, Volcker's conquest of monetary stability endeared him to conservatives. Building on Volcker's legacy, his successor, Alan Greenspan, preached market liberalization to promote economic growth and contain inflationary pressures.

The establishment of the European Central Bank in 1998 marked the triumph of independent and inflation-focused central banks. With the support of many politicians and economists (including liberals as well as staunch conservatives), these institutions gained more prominence. Backed by financial markets, informal alliances supporting low inflation and neoliberal policies then became entrenched in international policy circles. At the turn of the 21st century, critics of independent central banks and their priorities were found almost exclusively on the left.

All that changed after the global financial crisis of 2008—well before Trump became president. To avert economic collapse and deflation, the Fed under Ben Bernanke rescued Wall Street, cut interest rates to zero, and launched massive purchases of financial assets, known as quantitative easing. Other central banks around the world adopted similar unconventional policies, although their timing and scale differed.

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This gave rise to a new breed of critics on the right. In the United States, Tea Party activists and politicians accused Bernanke of leading America to ruin. They complained that the Fed should fight inflation and fiscal deficits, not bail out banks or facilitate credit easing. Some conservative monetary policymakers, economists, and financiers also turned against the Fed's huge stimulus. These establishment critics notably included Warsh, the incoming Fed chair, and Scott Bessent, now Trump's treasury secretary. In their view, the Fed was encroaching on fiscal policy and distorting financial markets.

These criticisms fueled the radicalized conservative movement that elevated Trump to the presidency in 2016. MAGA Republicans share a hatred of the "deep state" and a distrust of independent government agencies, including the Fed. Trump has seemed to expect his Fed nominees to slash interest rates when he was in power, and to raise them when he was not. Trump soured on Powell, his pick for Fed chair in 2017, for not following that script.

European conservatives have also become more critical of central banks, as they have competed with increasingly popular far-right parties in recent years. Germany's far-right party Alternative für Deutschland was founded by conservatives who opposed the euro and demanded austerity in Greece and other European Union countries. The United Kingdom Independence Party and its successor, Reform UK, successfully advocated an exit from the EU and railed against the Bank of England.

To be sure, conservative supporters of independent central banks have not disappeared. In the US, some conservative Supreme Court justices and congressional Republicans resisted Trump's assaults on Powell and the independent Fed. Likewise, many moderate conservatives in Europe have defended central bankers against attacks from the far right. But amid increased polarization, the process of appointing monetary policymakers is set to become more confrontational.

Warsh, for his part, has vowed to defend the Fed's independence. But the question is whether he can do that without antagonizing Trump, who sees low interest rates as critical to boosting the economy and addressing affordability concerns before November's midterm elections—never mind the inflationary pressures caused by his tariffs and war against Iran. If Warsh's Fed does not lower rates, and fast, Trump's attacks are unlikely to cease.

The broader problem is that central bankers can no longer count on a deep well of conservative support for their independence and technocratic policymaking. In the US, Trump and his MAGA movement have made the Fed into a scapegoat, portraying it as biased against the administration's agenda. In Europe, many conservatives have rebuffed central banks' cautious efforts to address broad sources of instability, such as climate change, arguing that they should stick to their narrow mandate of ensuring price stability.

Even if the Fed and other central banks manage to preserve their institutional integrity, central bankers will not find it easy to repair relations with an increasingly radicalized right without acquiescing to its partisan demands. If monetary policymakers are to remain credible and independent, they will need both individual courage and reliable defenders.

20. How Africa Can Escape the Debt Trap

Author: Hippolyte Fofack | **Date:** May 11, 2026 | **Original:** <https://www.project-syndicate.org/commentary/ending-africa-debt-crises-requires-global-governance-reforms-by-hippolyte-fofack-2026-05>

DAKAR—The narrative that Africa faces a persistent debt crisis has become entrenched. In fact, despite representing nearly one-fifth of the world's population, the continent accounts for less than 3% of global sovereign debt. By contrast, the European Union and the United States account for a much larger share (nearly 16% and more than 34%, respectively). Moreover, Africa's average debt-to-GDP ratio, at 67%, is markedly lower than those of Europe (88.5%), the US (122.6%), and Japan (236.7%).

Nonetheless, many countries on the least-indebted and most capital-starved continent remain stuck in a debt trap. On May 12–13, Senegal will host an international conference to address the country's escalating debt crisis and, crucially, one of its main drivers: the structural asymmetries embedded in the global financial system. This flawed architecture has obstructed Africa's access to affordable, long-term capital and prevented the continent from diversifying its sources of economic growth and trade, transforming debt from a manageable development instrument into a self-perpetuating cycle of vulnerability.

In particular, the shift toward costly, short-term, market-based borrowing amid declining concessional lending has trapped African countries in cycles of indebtedness and external dependence. Constrained by fragmented monetary landscapes and underdeveloped domestic financial markets, African countries are forced to borrow in foreign currencies, mainly the US dollar. This leads to currency mismatches and exposes these countries to disorderly capital outflows and exchange-rate and interest-rate risks, especially monetary-policy shifts by the US Federal Reserve and other major central banks.

The balance-of-payments constraint associated with dollar funding creates a negative feedback loop. Exogenous economic shocks trigger capital flight to safe havens, sudden stops in financial inflows, and currency depreciation, all of which exacerbate the debt burden. Policymakers enact fiscal austerity, leading to a further slowdown in economic growth and revenues that make it even harder to service debt in the future.

Credit-ratings agencies such as S&P, Fitch, and Moody's deepen the debt trap by assigning most African countries lower ratings, which substantially elevate their borrowing costs and limit their market access. Sovereign bonds issued by African countries typically yield 8–15%, in sharp contrast to yields of 1–5% in Europe and North America. These spreads impose high macroeconomic costs. According to the United Nations Development Programme, credit-ratings agencies' subjective evaluations have cost African countries an estimated \$74.5 billion.

These additional costs help create a debt overhang. Interest payments now account for more than 20% of government revenue in several African countries—including around 40% in Nigeria and over 70% in Egypt—thereby imposing significant opportunity costs on development. Resources that could be

allocated to infrastructure, industrial policy, human-capital development, and technological upgrading are instead redirected to debt servicing.

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In short, Africa is paying so much not because of the amount of debt it has accumulated, but because of how that debt is structured and perceived. For African countries, it costs more to borrow less, setting unrealistic return-on-investment expectations that further undermine debt sustainability. As a result, a growing number of African countries have pursued rollovers and refinancing options, such as issuing new eurobonds, to settle maturing obligations—falling deeper into the debt trap.

This has accelerated the shift in recent decades from long-term concessional loans to short-term commercial debt. Private creditors now hold more than 40% of Africa's external public debt, up from 17% in 2000. Loans with shorter maturities compress repayment timelines, increase refinancing risks, and are misaligned with Africa's long-term development objectives. They also raise the risk of maturity clustering. This year, for example, African countries face a record \$90 billion debt wall driven by maturing eurobonds. Difficult tradeoffs will likely be necessary.

At the same time, Africa faces other economic constraints. The continent loses more than \$50 billion annually in illicit financial outflows through trade misinvoicing, abusive transfer pricing, and tax avoidance. The global financial system enables these leakages with secrecy jurisdictions and limited multilateral cooperation on international taxation.

Moreover, the erosion of human capital and a chronic infrastructure deficit in an austerity-prone operating environment leave many African economies vulnerable to commodity shocks that drive external liabilities higher. When balance-of-payments crises invariably materialize, African governments are compelled to borrow in foreign currencies and implement adjustment programs that prioritize short-term fiscal consolidation over long-term development. (These programs' procyclical austerity measures can help stabilize public finances but often weaken state capacity and lower potential economic growth). Over time, this leads to repeated cycles of borrowing, crisis, and adjustment—the very definition of a debt trap.

To break the cycle of dependency and accelerate development, policymakers must redesign the global financial architecture. Aligning debt maturities with longer-term development objectives requires improving access to concessional financing, which can be achieved by strengthening development-finance institutions' capital base. At the regional level, policymakers must fast-track monetary integration and the development of deeper domestic capital markets to support long-term borrowing in local currencies and address structural mismatches between currency denomination and revenue generation.

It is also crucial to reform credit-ratings agencies' methodologies to achieve parity in access to affordable development finance, and to reduce the incidence of procyclical policies. This will not only rebuild these institutions' credibility but also foster economic growth and sustainable development.

Lastly, the international community should regard fiscal consolidation and debt sustainability as being in service of a broader goal: to promote Africa's economic development.

Africa is not heavily indebted; it is a victim of deep-seated inequalities, underpinned by an international financial architecture that prevents structural economic transformation and perpetuates debt crises. If the world is to harness Africa's demographic dividends and unlock its growth potential, both of which are essential to maintaining financial stability worldwide, the institutions, rules, and norms of global governance must become more balanced and development-oriented.

21. Interest Rates Can't Control Today's Inflation

Author: Carolina Alves | **Date:** May 11, 2026 | **Original:** <https://www.project-syndicate.org/commentary/why-interest-rate-hikes-are-unlikely-to-curb-inflation-by-carolina-alves-1-2026-05>

LONDON—For much of 2025 and early 2026, central banks have framed their decision to hold interest rates steady as an exercise in prudence. With inflation once again edging upward even as growth slows, institutions like the US Federal Reserve and the Bank of England have emphasized patience and “data dependence” as the responsible course, an approach shaped above all by lingering fears of recession.

That stance has pushed the policy debate toward a familiar question: How long can central banks resist raising interest rates? But that framing misses the point. The real issue is not the pace of monetary tightening; it is whether policymakers can maintain the fiction that higher interest rates are an effective, or even neutral, response to the inflationary pressures advanced economies currently face.

Today's inflationary pressures are not being fueled by overheated labor markets or surging consumer demand. They reflect higher energy prices, geopolitical conflict, climate-related disruptions, fragile supply chains, and—increasingly—the pricing power of large corporations. Given that the problem is not excessive borrowing or spending, raising interest rates does little to address inflation's underlying causes.

These pressures are likely to intensify. The United Arab Emirates' recent decision to exit OPEC is about more than an internal dispute within a commodity cartel. It signals a deeper structural shift in the political economy of energy, marked by changing power dynamics in global oil markets and the weakening capacity of existing institutions to manage a resource that is both highly financialized and geopolitically fraught.

Because OPEC's influence has long rested on its members' restraint, the UAE's departure undermines the bloc's traditional role in managing supply. With one of its largest and most flexible producers breaking away, coordination becomes harder to sustain, increasing market volatility. Oil markets, in turn, are responding less to collective strategy than to fragmentation, geopolitical risk, and unilateral decision-making.

As a result, central banks find themselves in an increasingly uncomfortable position. If they keep interest rates lower for much longer, they risk eroding their credibility as headline inflation ticks upward. Conversely, raising rates too aggressively could deepen recessionary pressures, exacerbate private and public debt burdens, and further squeeze households already battered by rising food, housing, and energy costs.

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Against this backdrop, monetary authorities are not freely choosing between clear policy options. They are operating within tight structural constraints imposed by financial markets, fiscal fragility, and political pressures, especially when it comes to unemployment. Markets, for their part, increasingly anticipate rate hikes not because they will solve inflation, but because central banks feel compelled to act, even when their tools are ill-suited to the task.

The distributional consequences of that policy reflex are often overlooked. Higher interest rates act as a disciplinary mechanism: they protect asset values, reward creditors, and shift the burden of adjustment onto workers, mortgage holders, and heavily indebted countries. Casting inflation as a labor-market problem, even though it is driven by energy monopolies, geopolitical tensions, and supply disruptions, is a political choice, not an economic necessity. In reality, higher interest rates do not eliminate inflation so much as redistribute its costs through higher unemployment, increased household debt, and fiscal retrenchment. This is not an unintended side effect of monetary policy, but the mechanism through which inflation is typically managed.

That reality has done little to shift the terms of debate. Policymakers continue to treat inflation as a monetary problem rather than a structural and distributional one. Central banks respond by tightening financial conditions, but higher interest rates do nothing to reduce food prices, which reflect surging fertilizer and energy costs. They do, however, raise the risk of job losses, mortgage distress, and entrenched poverty.

If inflation remains elevated for years, the problem becomes one of social exhaustion. Households cannot keep absorbing higher costs without long-term damage, from rising indebtedness to poorer nutrition and worsening health outcomes. At that point, inflation is no longer just an economic issue but a source of political instability, potentially leading to a crisis of institutional legitimacy.

These dynamics underscore the limits of central banks' current approach. As inflation becomes closely tied to climate shocks, war, and the strategic control of essential resources, monetary policy alone cannot stabilize prices without imposing serious social and economic costs. Higher interest rates may suppress demand, but they cannot produce oil and natural gas, unblock ports, repair supply chains, or reduce corporate markups.

Central banks can delay rate increases, move gradually, or embrace "optional pauses." But such tactical adjustments do not resolve the underlying contradiction: policymakers are using a technocratic instrument designed for demand management to curb price increases driven by structural and political forces.

Until that contradiction is addressed—through coordinated energy policy, public investment, price regulation, industrial strategy, or active fiscal intervention—interest rates will continue to oscillate without resolving the problem they are meant to solve. Monetary tightening will remain a symbolic gesture to convey control rather than a real solution.

At its core, policymakers' continued reliance on interest rates to manage crises stemming from the interplay between energy markets, corporate power, and geopolitical conflict reflects how inflation is framed. Treating structural inflation as a demand-management problem allows policymakers to

appear decisive while avoiding a more difficult confrontation with those who set prices, control resources, and extract rents. That, too, is a policy choice—one whose social costs are becoming harder to ignore.

22. Is the Global Financial System Making the Hormuz Shock Worse?

Author: Hanan Morsy | **Date:** May 8, 2026 | **Original:** <https://www.project-syndicate.org/commentary/global-financial-system-making-hormuz-shock-worse-by-hanan-morsy-2026-05>

ADDIS ABABA—The closure of the Strait of Hormuz has caused severe price spikes, which are hitting the world's most vulnerable people the hardest. Since the start of this year, the price of Brent crude has risen by at least 41% (topping \$100 per barrel), that of urea (a component in fertilizer) by about 50%, and container freight rates by 21%. Maritime insurance premiums have surged up to ninefold, and 29 African currencies have depreciated. And as if these shocks were not bad enough, the global financial system's response has made matters worse.

Just when many economies need liquidity, financing conditions have tightened, risk premia have widened, and key tools for such emergencies are scheduled to be phased out. Mechanisms designed to absorb stress have instead amplified it. The global economy is not only more volatile than in the past, but also structurally vulnerable to geopolitical conflict, trade fragmentation, climate shocks, technological shifts, and other broad forces that are overlapping and compounding in real time.

The current financial architecture was supposed to ensure stability by providing liquidity when capital retreats, cushioning economies when shocks hit, and encouraging investment when uncertainty rises. But we have just witnessed the opposite. As capital has fled to safety, borrowing costs have climbed, and many countries have found themselves with even less fiscal capacity to respond to the shock.

For example, in Africa, financing conditions tightened as net oil-importers faced surging fuel and food import bills. Yet one of the few instruments designed for such occasions, the International Monetary Fund's Rapid Credit Facility for low-income countries, is set to phase out the higher access limits that were implemented during the COVID-19 pandemic. Meanwhile, middle-income countries borrowing under stress continue to pay extra under the IMF's surcharge policy.

While the IMF defends this policy as necessary to encourage repayment and safeguard its resources, the policy is procyclical because surcharges are being levied on the largest outstanding balances, which invariably are held by economies under the most stress. Recent research maps the regressive effects of these dynamics. Just when countries need to be pursuing countercyclical measures (such as stimulus in the face of a contraction), the safety net shrinks, and the cost of shock absorption spikes.

Moreover, the cost of capital has risen. After averaging 2.4% through the 2010s and touching a trough near 0.6% during the pandemic, the US 10-year Treasury yield has risen to approximately 4.36%, a level that increasingly appears structural rather than temporary. For emerging and developing economies carrying high debt loads, this raises the hurdle rate (the minimum expected return on investment) for every energy, infrastructure, food-system, and climate-resilience project. Again, the system is tightening financial conditions at precisely the moment when it should be loosening them.

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But this is not an unintended consequence. The system is functioning as designed. It was built for a world of episodic shocks and orderly recoveries, not one characterized by persistent, overlapping sources of disruption. In this new world, procyclicality is no longer a minor flaw; it is a binding constraint on growth and stability.

Africa suffers the most from these dynamics, owing to its large investment needs, limited fiscal buffers, and continued reliance on external financing. As climate, geopolitical, and other shocks increase debt burdens across the continent, health and education spending is crowded out. Many countries are advancing prudent, growth-enhancing domestic reforms, but these external forces undermine the results.

The situation calls for not just more financing or faster disbursement, but also built-in stabilizers to remove the clearest sources of procyclicality. In the case of the IMF, that means preserving emergency financing facilities, reactivating the Food Shock Window, and eliminating procyclical surcharges on borrowers that rely on these facilities.

Similarly, for the World Bank, minimizing procyclicality means frontloading International Development Association financing, scaling up contingent credit lines (with larger limits) and other resources for vulnerable lower-middle-income countries, and expanding local-currency lending to reduce the foreign-exchange mismatches that make depreciation episodes more painful. And for regional development banks and financial institutions, it means deploying trade finance and letters of credit to keep energy and fertilizer supply chains functioning.

More broadly, policymakers must start overhauling the global financial architecture to include predictable, rules-based instruments that disburse automatically when agreed indicators are breached, rather than waiting for governing board decisions months into a crisis.

By rechanneling the IMF’s international reserve asset, Special Drawing Rights, toward multilateral development banks as hybrid capital, we can turn idle reserves into resilience-building investments in vulnerable economies. By implementing the G20’s 2022 Independent Review of Multilateral Development Banks’ Capital Adequacy Frameworks, we can unlock an additional \$300–400 billion in lending over the next decade without new capital from shareholders. And by revisiting the structure of shareholding, representation, and quotas at international financial institutions, we can give the countries most exposed to global shocks a meaningful voice in setting the rules.

The issue is not a funding or liquidity shortfall. In a world marked by persistent disruptions, we are still relying on a system built for temporary shocks. But resilience cannot be improvised; it must be engineered into the system itself.

23. The Blind Spots of African Development Finance

Author: Gomez Agou | **Date:** May 7, 2026 | **Original:** <https://www.project-syndicate.org/commentary/how-to-unlock-african-development-finance-by-gomez-agou-2026-05>

CAMBRIDGE—Africa’s development-finance gap is the continent’s biggest challenge, and at its core, it is a design problem. In the absence of the instruments and regulatory pathways needed to channel domestic savings toward productive investment, much of the continent’s capital remains trapped in short-term sovereign debt.

This raises a fundamental question: What would it take to build a development-finance system that can actually finance development?

The answer is intelligence. Integrated, forward-looking macro-financial analysis can identify whether the system is functioning and where risks are building before unexpected shocks bring vulnerabilities to the surface.

Africa currently lacks three key elements of financial intelligence, starting with a clear view of contingent liabilities. This is most evident not in distressed economies, where some form of oversight exists, but in countries that are not subject to close macro-financial monitoring. Ironically, these are often the countries where new financial instruments are spreading most rapidly.

A second vulnerability lies in the nature of macroeconomic discussions between development-finance institutions and governments. These interactions tend to be strictly transactional. While they often reassure policymakers that the country’s fiscal position is stable, new liabilities are rarely incorporated into macroeconomic risk assessments, allowing pressures to build.

Lastly, there is no pan-African analytical benchmark for pricing new financial instruments. Without a common framework to evaluate a credit-enhanced bond in Nairobi, a blended-finance vehicle in Abidjan, and a guaranteed infrastructure bond in Lagos on comparable terms, risk is bound to be systematically mispriced. When the first default arrives, investors will not retreat selectively; they will exit the asset class altogether. Consequently, the track record needed for these markets to mature will not develop.

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This is a structural problem, not an institutional failure. Global macro-surveillance institutions focus on systemically important markets by design, leaving most African capital markets outside their purview. Meanwhile, regional development banks have the necessary macroeconomic expertise, but

their analytical work is oriented toward stability rather than tracking capital flows and contingent liabilities.

National regulators, for their part, operate within narrow jurisdictions, and credit rating agencies mostly cover sovereign debt rather than the local and blended instruments on which the new credit architecture depends. The result is a fragmented analytical landscape in which no institution is capable of integrating available information into a system-wide assessment of risk.

That said, creating a new institution is neither necessary nor practical. In advanced economies, the market itself integrates pricing and risk assessment through a mature buy-side and sell-side ecosystem that guides capital allocation. While Africa's ecosystem remains less developed, with limited investment-banking capacity and sparse buy-side research, this is merely a transitional condition.

Transitions, however, do not manage themselves. Until markets become deep enough to sustain their own intelligence infrastructure, a larger institution must fill the gap. The African Development Bank (AfDB) is uniquely positioned to fill that role. Working closely with the governments of its 54 regional member countries, it has direct knowledge of fiscal positions, debt structures, and domestic policy constraints.

The AfDB also structures transactions across a growing range of new instruments, in cooperation with domestic pension funds, global asset managers, and development-finance institutions. No other body has that kind of sovereign reach, transaction visibility, and investor access. Yet this role is not fully reflected in the AfDB's mandate. As the financial system evolves, the Bank's mandate must evolve with it.

Closing Africa's intelligence gap requires tracking contingent liabilities as guarantees are approved, not after financing has already been structured. Each guarantee adds to a government's balance sheet and, therefore, should be tracked as it is created, taking into account the country's debt trajectory and the conditions under which the government would have to honor the liability.

Another priority is developing common analytical standards for emerging asset classes, as markets cannot mature without shared frameworks for pricing, monitoring, and stress-testing. Few institutions are better suited to establish such standards than the AfDB: its transaction volume, continental reach, and investor relationships give it the credibility needed to ensure they are widely adopted.

Building the necessary analytical capacity also demands a profound cultural shift. Inside development banks, economic analysis and project financing have long worked in parallel, with economists producing reports while deal teams structure transactions. For the system to work, economic intelligence cannot remain merely a research product. It must inform decision-making in real time, guiding capital allocation and risk assessment. Crucially, that shift cannot be imposed from outside; it has to be led from within.

Most importantly, financial intelligence cannot be separated from the creation of coordination platforms and domestic savings reform. The three are mutually reinforcing parts of the same system. Platforms without intelligence allow risks to accumulate unnoticed, and without platforms, new instruments never scale beyond one-off transactions, leaving risk analysts with nothing to price.

Africa has the savings and the ambition to build a world-class development-finance system. What it needs now is the analytical infrastructure that can translate coordinated initiatives into functioning capital markets, along with the institutional and political support required to sustain them.

24. India's New Globalization Raj

Author: Shashi Tharoor | **Date:** May 7, 2026 | **Original:** <https://www.project-syndicate.org/commentary/india-new-globalization-raj-economic-openness-and-liberalization-by-shashi-tharoor-2026-05>

NEW DELHI—The Indian market's metamorphosis from a sequestered fortress into a vanguard of global trade is perhaps the most significant structural shift of the 21st-century world economy. The country has pivoted from a closed, defensive economic posture to an outward-looking, globally assertive stance. A hesitant participant in globalization has become an increasingly confident force shaping global supply chains.

For decades, the Indian market was defined by the “License–Permit–Quota Raj,” a stifling apparatus of bureaucratic red tape and formidable tariff walls designed to insulate domestic industries from the perceived predations of foreign capital. Throughout much of the post-independence period, India's economic strategy was built on self-sufficiency, import substitution (the domestic production of goods that could be purchased from others), and a deep suspicion of global markets.

Although this approach produced pockets of industrial capacity, it ultimately led to chronic inefficiencies, technological stagnation, and a persistent gap between India's economic potential and its performance, resulting in what the economist Raj Krishna called a “Hindu rate of growth.” The economy persistently struggled to keep pace with the country's demographic growth and expanding needs.

Then came economic liberalization in 1991, marking the beginning of India's metamorphosis. What started as a crisis-driven necessity gradually matured into a structural reorientation. India went from protecting itself against the global economy to participating in it, and finally to competing within it.

This shift was as much psychological as economic. To embrace the possibilities of openness, India had to shed its anxieties and sense of vulnerability. Over time, its integration into global trade, capital flows, and technology networks reshaped its growth trajectory, urbanization patterns, and entrepreneurial culture.

But the story does not end there. The India of 2026 has broken its remaining shackles to become the world's most open, liberalized major emerging economy. This transformation was born of a fundamental insight: true economic sovereignty in a digitized world lies not in isolation, but in integration. While the initial reforms of 1991 cracked the door open, India has spent the past several years removing the hinges entirely.

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Now, India is no longer a peripheral player but a central node in global economic flows. Its services exports, digital capabilities, and manufacturing ambitions have positioned it as a country whose economic choices reverberate far beyond its borders. Within multilateral fora, India has signed landmark comprehensive economic partnership agreements with the United Arab Emirates, Oman, Australia, the United Kingdom, and the European Union. Moreover, both New Zealand and the United States have announced agreements in principle.

These are not mere tariff-slashing exercises. They are designed to drive deeper integration by aligning regulatory standards, facilitating the seamless movement of professionals, and securing India's place within the high-tech global value chains that define modern manufacturing.

This shift is underpinned by a nuanced reinterpretation of the Indian government's mantra of *atmanirbharta*, or self-reliance. Indian leaders now understand that *atmanirbharta* is achieved through global engagement, not autarky. By leveraging production-linked incentive (PLI) schemes, the government has encouraged global titans in electronics, semiconductors, and green energy to treat the subcontinent not just as a captive market but as a primary export hub. It has even eased rules for foreign direct investment in sensitive sectors like defense and space exploration. India no longer fears foreign capital and is eagerly competing for it as the world's primary alternative to East Asia's traditional manufacturing clusters.

India's economic liberalization will have profound implications. As the "China Plus One" strategy—driven by geopolitical tensions, supply-chain vulnerabilities, and the desire to diversify risk—becomes the standard for multinationals' corporate planning, India stands out as an ideal partner—stable, democratic, and increasingly deregulated.

Thus, India's openness has acquired strategic significance. What once looked like a domestic reform agenda has become a global opportunity. The synergy between its burgeoning digital public infrastructure and its new trade agreements suggests a future where India does not just export goods, but also exports much of the world's digital architecture. By lowering the cost of imported inputs through trade deals, India is systematically enhancing its own exports' competitiveness, creating a virtuous cycle of growth that can propel it toward becoming a developed economy by mid-century.

The combination of a large, stable democracy, a young workforce, improving infrastructure, and a regulatory environment that is moving toward greater transparency and predictability makes India not merely an alternative to China but a complementary anchor in a multipolar supply-chain architecture. The country's manufacturing push through initiatives like PLI schemes, its digital public infrastructure, and its expanding logistics networks all reinforce this positioning.

But the path to becoming the world's most liberalized economy is not without friction. The challenge lies in ensuring that the "last mile" of reform—addressing high land, labor, and logistics costs and maintaining regulatory predictability—matches the ambition of the high-level trade agreements India has signed.

The transition from a protectionist mindset to a liberal one requires a continuous balancing act between protecting vulnerable agrarian livelihoods and embracing the creative destruction of global competition. Nonetheless, the momentum is undeniable. India's economic strategy has moved decisively from defensive insulation to strategic integration. It has shifted from fearing global

competition to leveraging it; from resisting foreign capital to courting it; from protecting domestic inefficiencies to building global competitiveness; from being shaped by globalization to helping define its next phase.

The direction of travel is unmistakable. India is no longer a bystander in the global order, but a primary architect of its future.

25. Debtor Countries Finally Have a Group of Their Own

Author: Ahmed Kouchouk | **Date:** May 7, 2026 | **Original:** <https://www.project-syndicate.org/commentary/borrowers-platform-will-allow-global-south-to-coordinate-on-debt-by-ahmed-kouchouk-2026-05>

CAIRO—On April 15, a group of developing countries launched the Borrowers' Platform to create a more powerful collective voice in debt-management discussions and international financial negotiations. While the initiative is grounded in the Sevilla Commitment, adopted at last year's Fourth International Conference on Financing for Development, it was long in the making. To paraphrase the French literary giant Victor Hugo, nothing is stronger than an idea whose time has come.

For decades, developing countries have been forced to navigate an increasingly complex international financial system. With systemic and geopolitical risks mounting, uncertainty has become the new normal, leading to a growing chorus of Global South policymakers calling for more collaboration and coordination.

The Sevilla Commitment formalized this idea, with United Nations member states agreeing to “establish a platform for borrower countries with support from existing institutions, and a United Nations entity serving as its secretariat.” The aim is to create a venue for these countries to discuss technical issues, share information on addressing debt challenges, access technical assistance and capacity building in debt management, coordinate their approaches, and influence the global debt architecture.

The Borrowers' Platform arrives not a moment too soon. In 2024, 61 developing countries spent at least 10% of government revenue on debt service, while 3.4 billion people live in countries that spend more on interest payments than on health or education. In other words, the high costs of servicing the debt these countries have accumulated to finance their development are now threatening that agenda.

Interdependent and overlapping global crises, coupled with the most significant and extended period of monetary-policy tightening in more than two decades, have resulted in a widening gap between developing countries' interest payments and their government revenue. This leaves policymakers with extremely limited fiscal space for public investment, including to achieve the Sustainable Development Goals by 2030 and to build climate resilience. Compounding these countries' dilemma, the nature of sovereign debt has changed significantly in recent years, reflecting shifts in creditor composition and the use of more complex instruments and contractual innovations.

Negotiating such a complex system requires informed and capable policymakers supported by skilled teams in finance ministries and debt-management agencies—a challenge even for advanced economies. Meanwhile, existing global debt frameworks have not kept pace with these changes and remain unresponsive to the needs of countries in debt distress, many of which are in the Global South. As a result, these economies are left to face acute financing pressures on their own, lacking the institutions (both formal and informal) that have long enabled creditors to align their activities.

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The Borrowers’ Platform seeks to change that. It recognizes that indebted countries have much to learn from each other’s experiences. Equally important, it can help these countries build capacity to identify and address debt challenges by providing coordinated technical assistance on issues ranging from debt management to engagement with rating agencies and other financial-market actors. Moreover, there is strength in numbers when it comes to advocating for relevant and necessary reforms to the global debt system.

Developing countries were quick to seize on the agreement reached in Seville. To move the process forward, a working group comprising representatives from Egypt (chair), Zambia, Pakistan (vice-chair), Nepal, Colombia, Honduras, and the Maldives was established. With support from UN Trade and Development experts, the group developed and agreed on a preliminary framework outlining the platform’s objectives, membership eligibility, and governance structure, which prospective members can consider and adapt during the interim phase (April-October 2026).

Membership is open to developing countries that are UN member states, bilateral borrowers, and not permanent or full members of a creditor association. Of the more than 100 countries that meet these criteria and have been invited to join, over 30 have done so.

As the interim chair of the Borrowers’ Platform, I am committed to ensuring that the group delivers tangible results and evolves into an effective mechanism for all participating countries. Members have already started working together on a voluntary and non-binding basis toward achieving common objectives, such as promoting peer learning, establishing a knowledge repository, and enhancing the quality and integrity of debt-related data. Thus, borrower countries are signaling to markets a willingness and ability to improve debt practices and development-finance outcomes.

While the launch of the Borrowers’ Platform is a welcome milestone, it is only the beginning. Its success will require sustained engagement by member countries, continued support from international partners, and a shared commitment to practical, results-oriented cooperation.

26. The Iran Standoff and the Future of Oil

Author: James K. Galbraith | **Date:** May 6, 2026 | **Original:** <https://www.project-syndicate.org/commentary/iran-war-endgame-no-good-options-for-trump-by-james-k-galbraith-2026-05>

AUSTIN—More than nine weeks into the three-day war on Iran—recently declared “over” by the White House even as threats continue—it is not yet possible to disentangle rationales and pretexts. What was said in meetings, and by whom, even when a full accounting emerges, will not necessarily be dispositive, because some unstated reason may still underlie whatever argument was made.

We do know that Donald Trump’s presidency is dominated by a real-estate culture. The president, his family, key cabinet members, advisers, and donors are drawn from the world of hotels, luxury resorts, and casinos. They are not lawyers, elected officials, or lifelong bureaucrats, let alone college professors. Prices and asset values are their bread and butter. So, let us suppose that they have thought this through in terms of the economics of oil.

Our analysis can start with the fact that the United States is now the world’s largest oil producer, owing to fracking in the Permian Basin of West Texas and southeastern New Mexico. With the estimated break-even price for Permian crude (about \$65 per barrel) higher than the oil price was between July 2025 and February 2026, the well count in the Permian has fallen by about one-third since 2023, with production reaching a record in 2025, thanks to improved efficiency. Arguably, the pre-war price was too low for sustained profitable drilling, and so for the private-equity interests who had moved into the Permian Basin in 2020-21, when oil properties were very cheap.

The effect of the war’s first month was to take oil supplies from the southern Gulf largely offline, reducing global oil flows by about 10%. From these basic facts, a valuation formula that Jing Chen and I present in our book *Entropy Economics* predicts a price increase of 60%. In the event, West Texas Intermediate (WTI) crude rose by 60%—from around \$65 to \$104 per barrel—during the first month of the war.

From the US producers’ perspective, this was a good result—a bit too good. When prices rise above \$90 per barrel, cost-push inflation begins to bite at home, and Asia and Europe begin to suffer painful shortages (not only oil, but also sulfur, urea, and helium). And if the price goes much higher, demand begins to fall. As the war continued, prices surged above \$110 per barrel until April 8, at which point the US declared a ceasefire, and they fell.

No one can ever be sure what Trump is thinking, but he may have realized that another attack on Iran will not work. The Islamic Revolutionary Guard Corps has made clear that it would retaliate by destroying critical infrastructure across the entire Gulf and in Israel. According to our formula, a full shut-off of the Persian Gulf would drive the WTI price to about \$155 per barrel, which would collapse the market and bring prices back down the hard way. The best result for the US side, then, is an open Gulf with a reduced flow, yielding a US price between \$80 and \$100 per barrel.

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The problem is that if Iran controls the flow, this optimal price for the US is also very good for Iran. Indeed, Iran upped its production in March, taking market share from the blocked and damaged southern Gulf. The irony is striking. Although the two countries are at war, their governments’ economic interests appear to coincide. Of course, from the US-Israeli perspective, the wrong country is benefiting from a partial shutdown of the Strait of Hormuz.

The Trump administration thus responded with a blockade, though without enough ships to catch all the Iranian ones. The choice of a blockade implies hope for a deal, whose unstated purpose could be to stabilize the price in the desired range for the rest of Trump’s term. This would be a win-win for the US and for Iran. But it would likely mean sacrificing the US-allied Arab monarchies in the Gulf and delivering a strategic defeat for Israel. The United Arab Emirates’s departure from OPEC might be read as a reaction to this possibility; so, too, might Israel’s pressure to renew the war.

The result is a gigantic game of chicken, with the world economy on the block. Even a leaky blockade might, over time, force Iran to fill its oil storage, and then to curtail production. With that potential leverage, Trump has an interest in drawing out the face-off for as long as possible. But naval deployments cannot last indefinitely, and one damaged aircraft carrier is already heading home.

If Iran can hold out, the US eventually will have to fold, and the oil price will fall as production recovers. By tolling traffic through the Strait, Iran can then prosper at a lower price level, even with an entirely open Gulf and all taps flowing. As for the US, its own energy independence, and Europe’s recent dependence on US oil and liquefied natural gas, will gradually decline. Much of the world would then have to turn to Russia and to the Persian (now very “Iranian”) Gulf.

Trump and his people therefore face a dilemma. They could collapse the world economy now (and maybe they will); they could walk away (and maybe they will), accepting both an immediate defeat and longer-term erosion of the US position; or they can stall and hope for a deal. And if an unpalatable deal is the best Trump can get, his interest is to stall for as long as possible and pray for a miracle.

His prayer is unlikely to be answered, though. Iran is tough, and time is (mostly) on its side. The Iranians know that the usual American endgame (not unique to Trump) is to walk away from defeat, take the humiliation, and move on. In that case, the oil price will fall, and eventually the private-equity interests in the Permian Basin will go bust. It may take a while to get there, with flip-flops and bombast along the way; but short of a global calamity (still a distinct possibility), this seems to be the way out.

In principle, the US could take another path over the longer term. Voters could kick out the speculative class now in charge, and the country could develop a national energy policy—and start producing, pricing, and allocating energy for the benefit of the whole US population. It could even return to the international community as a partner, rather than as a would-be emperor.

Then again, one should never bet on something just because it is possible.

27. How Should Europe Respond to the Energy Shock?

Author: Daniel Gros | **Date:** May 6, 2026 | **Original:** <https://www.project-syndicate.org/commentary/europe-should-strengthen-ets-instead-of-lowering-fuel-taxes-by-daniel-gros-2026-05>

SOFIA—Since Israel and the United States launched their war on Iran in February, global energy prices have skyrocketed, with crude oil reaching nearly \$115 per barrel at the beginning of this month. While this shock has hit low-income countries the hardest, it also places significant strain on high-income Europe. But it also presents an opportunity for Europe to reinvigorate its green transition—and European governments are failing to seize it.

By highlighting the risks associated with dependence on foreign oil and making fossil fuels less competitive vis-à-vis renewables, the current price shock makes the political and economic case for the green transition stronger than ever. But governments fear the short-term political consequences of consumer anger over higher energy prices, so, rather than capitalizing on this moment to accelerate progress, they are scrambling to keep consumers' costs low by cutting fuel taxes.

As the International Monetary Fund has noted, this approach is fundamentally flawed. For starters, the price increase in Europe has not actually been that extreme: because fuel taxes account for up to half of what Europeans usually pay at the pump, the price rise has been far smaller than the overall surge in global crude oil prices. For example, in Germany, the price of unleaded fuel increased by less than 25%—from about €1.80 (\$2.11) per liter in January to €2.20 in April—even as crude oil prices soared by over 80%, from around \$60 per barrel to over \$110 per barrel.

Moreover, reducing fuel taxes shrinks government revenues and is highly regressive. Higher-income households drive more, have bigger cars, and have little incentive to save fuel even at slightly higher prices; they have even less when prices are held down. But they are more likely to vote and to express their frustration politically, and at-the-pump costs are immediately visible, whereas other consequences of higher energy prices, such as larger heating bills, arrive much later, with the increase distributed over time.

So, Germany's government has sought to get prices back below €2 per liter—a psychological threshold beyond which a political backlash might become more likely. Other European countries have enacted or are contemplating similar measures.

Some European governments, such as Spain's, are pursuing lower taxes on electricity generation, which is similarly counterproductive, as it encourages more energy use. Since renewables still have a limited capacity, this will lead to yet more fossil-fuel imports and greenhouse-gas emissions, while doing little to limit inflation. As usual, when faced with political pressure, European leaders are abandoning coherence for expediency.

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Nowhere is this more obvious than in the fact that the same governments are continuing to subsidize renewables and electric-vehicle adoption, while sacrificing revenues in order to buffer the market forces that would naturally make such technologies more attractive. Germany has simultaneously budgeted €3 billion for EV subsidies this year and €1.6 billion in fuel-tax reductions that directly reduce the incentive to purchase EVs.

To be sure, even without the misguided fuel-tax reductions, EV subsidies are not an efficient way to reduce fuel consumption and emissions. The same goes for certain renewable subsidies, such as for rooftop solar. Both require large outlays per unit of emissions avoided, and both are regressive, because better-off households are more likely to be able to afford EVs and own homes that can support rooftop solar.

Subsidies also undermine resilience by weakening public finances. While high public debt might appear sustainable during good times, it makes responding to shocks very difficult. Because crises increase risk aversion, refinancing costs rise sharply, forcing governments to rein in spending exactly when it is needed most.

A better strategy would focus on reinforcing the European Emissions Trading System, which remains the most efficient instrument for limiting harmful emissions. Unlike regressive and expensive subsidies, the ETS effectively costs governments nothing and yields revenues that can be used to compensate poorer households for higher fuel costs. In other words, the ETS can both accelerate the energy transition and make it more equitable, without draining government coffers.

But the ETS has been watered down, with the European Commission bowing to lobbying pressure to keep more free emission permits available for industry. Moreover, ETS2—an expanded version of the ETS that covers emissions from a much wider range of sources, from buildings to road transport—has been postponed. It is now scheduled to become fully operational in 2028, instead of next year.

So far, European governments' response to the Iran energy shock has missed the mark. Far from subsidizing energy consumption, whether through lower fuel taxes or direct appropriations, they should be pushing forward with a system that discourages emissions, incentivizes adoption of renewables, and generates public revenues. While this approach might mean slightly higher fuel prices today, it would leave Europe less exposed to fuel-price shocks and better equipped to respond to crises.

28. Fiscal Discipline Requires More than Rules

Author: Antonio Fatas | **Date:** May 6, 2026 | **Original:** <https://www.project-syndicate.org/commentary/how-to-design-fiscal-frameworks-that-tilt-policy-decisions-toward-discipline-by-antonio-fatas-2026-05>

PARIS—Government debt in several advanced economies is now at its highest level outside wartime, and emerging-market debt has been steadily rising over the past decade. With interest rates no longer at record lows (as they were after the global financial crisis of 2008), concerns about fiscal sustainability are growing.

The question of how to restore sustainability is hardly new. Policymakers and academics have debated for decades the policies and institutions needed to support fiscal discipline and debt reduction. Many countries adopted numerical fiscal rules. Others strengthened the checks and balances on governments, including through the creation of independent fiscal councils.

But the outcomes have been decidedly mixed: despite some successes, there have been many more failures. That should not come as a surprise, because fiscal policy is ultimately a creature of politics. Decisions on spending and taxation reflect social preferences, economic constraints, distributional conflicts, and electoral incentives. Fiscal sustainability is about reconciling these pressures in ways that place debt on a sustainable path. Given this, there is no easy fix.

Well-designed fiscal frameworks can, however, tilt policy choices toward financial discipline, even when there are other pressures pushing the other way. Research and experience have shown that better design makes a real difference in two areas: assessing debt sustainability and building fiscal rules that survive the political cycle.

While the standard framework for assessing debt sustainability is widely accepted, there is a gap when it comes to capturing the feedback loop from fiscal-policy decisions to macroeconomic outcomes that reinforce sustainability. For example, fiscal tightening can lower debt ratios, but only when done at the right time and in the right way; otherwise, it can weaken growth to the point of damaging sustainability.

Moreover, treating all spending as alike can be just as self-defeating: cutting public investment or spending on education or research for the sake of short-term consolidation can lower growth and raise debt ratios over the medium term. Nor is it accurate to claim that any spending will pay for itself through higher growth. What is needed is more guidance on which types of spending have the largest effects on sustainability, and under which conditions. That requires more modeling—beyond what current frameworks offer—of the link between fiscal choices and sustainability.

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Much more clarity is also required about fiscal rules, which have become the standard instrument of fiscal governance in much of the world. While evidence shows that they do improve fiscal outcomes on average, their effectiveness is uneven, and their durability depends heavily on the circumstances of their adoption.

Rules introduced under market pressure during periods of economic stress often generate only short-term improvements. Once the immediate pressure fades, so does the political commitment to enforce them. Fiscal rules adopted when governments are compelled to build consensus, as opposed to when majority governments simply impose a framework, are more durable. As it turns out, credibility cannot be legislated into existence. The time to build robust fiscal frameworks is before a crisis hits, not after it is too late.

Ultimately, the underlying challenge is the same. Debt-sustainability analysis rests on technical judgments—from growth prospects to returns on different types of spending—that are genuinely difficult to make. And governments have incentives to use optimistic forecasts or selective accounting to shade these judgments in favorable ways. Similarly, the credibility of fiscal rules depends not only on consistent application but also on sustainability assessments that are both rigorous enough to command trust and resilient enough not to be bent after the fact.

Both areas require research that is technically sound and insulated from political pressures. This underscores the importance of independent fiscal councils, transparent budget processes, and strong technical institutions. Governments, of course, make all fiscal choices, but these technocratic actors raise the quality of those choices, challenge unrealistic assumptions, clarify trade-offs, and anchor rules in analysis that commands wider trust.

Fiscal discipline, in the end, requires more than a framework. It requires public institutions with the technical capacity and the resources to conduct rigorous and honest research. A lack of analytical rigor and integrity produces bad fiscal decisions and short-lived fiscal rules.

29. Jerome Powell's Mixed Legacy

Author: Mohamed A. El-Erian | **Date:** May 6, 2026 | **Original:** <https://www.project-syndicate.org/commentary/powell-legacy-fed-defender-but-also-policy-mistakes-by-mohamed-a-el-erian-2026-05>

NEW YORK—Call it one of the biggest turnarounds in the US Federal Reserve's storied history. When Jerome Powell concludes his two-term tenure as Fed chair on May 15, his legacy is likely to reflect a striking irony: it will have been secured by the man who sought most aggressively to undermine him.

History is often written in the shadows of conflict, and Powell's leadership at the Fed is no exception. The narrative that will likely endure is not one of multiple failures, but of political resilience. Rather than dwelling on a long list of mishaps—significant policy errors, protracted periods of the Fed overshooting its inflation target, poor communication and compliance, supervisory and other lapses—commentators and historians will remember Powell as the chair who became a bulwark against unprecedented attacks on the central bank's independence.

Armed with the overwhelming historical consensus that central-bank autonomy is a prerequisite for long-term economic well-being, Powell went to extraordinary lengths to insulate the Fed from executive overreach. Throughout both his first term, and especially his second, he was forced to navigate a minefield of political pressures. The multifaceted campaign against him included not just public verbal broadsides and an attempt at televised humiliation, but even a Department of Justice investigation.

Powell's defining moment as Fed chair came when he decided to “play offense.” In January 2026, breaking with his institution's tradition of quiet diplomacy, he released a dramatic public video whose message was as clinically crafted as it was unambiguous. In an unprecedented and previously unthinkable manner, he bluntly accused the president of the United States of seeking inappropriately to influence interest-rate policies.

Without this high-stakes defense of the institution, Powell's record would undoubtedly be viewed more harshly. In strictly economic terms, his tenure was marked by a series of significant “misses.” For example, US domestic data had begun to paint a more troubling inflation picture even before the US-Israeli attack on Iran provided an exogenous shock to explain price pressures.

Consider the January 2026 report on personal consumption expenditures (PCE) inflation, widely viewed as the Fed's preferred measure. Monthly core inflation (which excludes volatile food and energy prices) was edging higher, giving the lie to the notion that the central bank was on the “last mile” toward its 2% inflation target. Annual core inflation remained stubbornly anchored at around 3%, well above target, and the goods component was flashing yellow—indicating renewed supply-chain or trade distortions—while the services sector remained untamed. The inflation numbers then deteriorated markedly in March, with monthly PCE inflation jumping to 0.7% as the fallout from the war with Iran started to percolate through the global economy.

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The data suggest that Powell would have left the Fed with inflation not only above target for the sixth consecutive year, but also increasingly structural and sticky in nature. Even absent the latest geopolitical volatility, the US economy would be poised for several more years of above-target inflation.

Beyond still-high inflation, various other mistakes have also loomed large over the Powell era. The first was the related “transitory” miscalculation, when the Fed’s failure to recognize the persistence of post-pandemic inflation resulted in price growth rising all the way to 9.1%, dealing a severe blow to Americans’ budgets—especially those of the poorest households. Much of this pain is still being felt today, fueling a troubling “affordability crisis.”

Then there were the bank-supervision lapses, which allowed for the dramatic failure of Silicon Valley Bank—followed soon after by Signature Bank and First Republic—and the de facto universal extension of federal deposit insurance. The Powell Fed also fell short on communication, with the chair himself often heightening market volatility by giving confused or confusing signals at his regular press conferences.

Finally, there were signs of internal strain or a cultural misalignment, with several Federal Open Market Committee (FOMC) members resigning amid allegations of financial irregularities. And there was the Fed’s failure to arrive at a new guiding policy framework. A 2025 reform to the Monetary Policy Framework remains unfinished, following a previous attempt, in 2020, that was essentially dead on arrival, owing to its focus on the problems of the previous decade. More broadly, the Powell Fed has repeatedly been unable to break away from the narrow confines of rigid models to incorporate a more holistic understanding of global structural shifts.

Yet all this will likely be sidelined in the history books because of Powell’s staunch defense of the Fed’s independence. This defining feature of his legacy will be further reinforced by his final decision to dramatically buck tradition by remaining on as a Fed governor after the conclusion of his chairmanship. In explaining this move at his final press conference, Powell voiced concerns that the Fed is still under attack, with the executive branch engaged in legal maneuvers that are “unprecedented in our 113-year history.” Ultimately, “the things that have happened, really in the last three months,” he argued, “have left me no choice.”

Yet his decision is proving polarizing. To some, it is a heroic act: a commitment to providing a “steady hand” on the board of governors, and to ensuring that the Fed’s institutional defenses remain intact. To others, Powell has adopted a self-serving strategy to manage both his own legal exposure and the broader narrative. Moreover, some see him as slighting his successor and colleagues on the FOMC, and others worry that the move will provoke more attacks on an already weakened institution.

By staying on beyond the end of his tenure as chair, Powell can keep the focus on his role as the “defender of the Fed.” But that also means he can sideline substantive policy critiques that would

otherwise have defined his mixed legacy. He has his main critic to thank for that.

30. Four Scenarios for the Iran War

Author: Nouriel Roubini | **Date:** May 5, 2026 | **Original:** <https://www.project-syndicate.org/commentary/iran-war-scenarios-and-economic-market-implications-by-nouriel-roubini-2026-05>

NEW YORK—After decapitating the Iranian regime and bombing Islamic Revolutionary Guard Corps positions for 40 days, the Trump administration has failed to secure a surrender and left Iran in control of the Strait of Hormuz. With Iran striking critical infrastructure across the Gulf Cooperation Council states and threatening shipping, the United States reverted to TACO (Trump always chickens out) mode by agreeing to a ceasefire. And now rising inflation and slowing economic activity imply a bout of stagflation—just in time to anger voters ahead of the US midterm elections.

So, what happens next? There are four possible scenarios.

First, the current ceasefire could lead to successful negotiations to end military hostilities and reopen the Strait of Hormuz. The US does have some leverage here because its blockade of all naval traffic to and from Iranian ports is adding to the financial pressure on the regime. Trump is probably hoping that a more moderate faction—perhaps led by the speaker of parliament, Mohammad-Bagher Ghalibaf—can convince the hardliners that a compromise on the nuclear issue will bring both sanctions relief and renewed shipping revenue through the strait.

But this scenario is not very likely, because the regime can withstand economic pain far longer than Trump can (given the looming midterms). Moreover, the two sides remain far apart on many issues, not just Iran's nuclear ambitions. The US objects to Iran's ballistic missile and drone programs, its support for radical Islamist groups across the Middle East, the tolls that it wants to impose on Hormuz traffic, and other matters. Settling even one of these would require long, complicated talks by serious, seasoned negotiators.

The second scenario reflects this. The ceasefire continues, but the negotiations stretch on for a few more months while the strait remains blocked. This is basically where things stand today, and it is far from ideal. The status quo is inflicting significant economic and financial damage on the world economy, with oil and energy prices trending higher, even exceeding their peak during the 40 days of kinetic war.

Under such conditions, global growth will fall, and inflation will rise. But since this second scenario is inherently unstable, it cannot continue for more than two or three months. It must give way either to the first scenario (one side blinks and proves willing to compromise enough to reopen the strait and secure a more permanent ceasefire) or to escalation of the conflict. Indeed, the military skirmishes in the Gulf this week demonstrate the fragility of any ceasefire without a deal.

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In the third scenario, the US and Israel would escalate by unleashing all the military, economic, and other means at their disposal to force a surrender or regime collapse. In the case of a surrender, the regime would have to accept a full stop to nuclear enrichment and reopen the strait unconditionally. This would be the best outcome for the US, Europe, Asia (including China), and the rest of the world.

The risk, of course, is that the Iranian regime survives such escalation. In the fourth scenario, it would use its remaining ballistic missiles, drones, and naval forces to inflict significant permanent damage on even more Gulf energy facilities, while maintaining its grip on the strait. Were that to happen, oil prices would spike closer to, or even above, \$200 per barrel, and we would be looking at 1970s-style stagflation, a global recession, and a bear market for equities.

To be sure, an escalation could pressure both sides to find a negotiated solution, with scenario two (the status quo) having to pass through scenario three or four before ending up at scenario one. But this is less likely, since we would be back to negotiating a ceasefire—and we would have already just seen how little that did; thus, escalation may get out of control rather than lead to a return to a negotiated ceasefire.

While Trump is hoping for scenario one, this is probably wishful thinking. It is the radicals and hardliners in Tehran who have the upper hand. They have already demonstrated their willingness and ability to withstand the economic pain of the blockade, and they will not be facing voters this fall.

When it comes to the long-term economic and market implications, the third scenario is ideal, because it would mean a permanent reopening of the strait. The second-best scenario would be the first one; but it would mean that Iran could close the strait any time the US or Israel threatened it. That possibility would put a permanent 15–20% premium on oil relative to the pre-war level. Still, the current situation (scenario two) is worse, because every month that the ceasefire fails to produce a deal will push global growth lower and inflation higher. The only worse outcome is the fourth scenario.

Given such profound risks, some might wonder why global markets—starting with US and Asian equities—have recently reached new highs. I see two reasons. First, investors expect that the ceasefire will somehow be made permanent soon, implying much lower oil prices. Second, there seems to be an assumption that the tailwinds from the AI and data-center boom will remain much stronger than the headwinds from the war.

But if you believe that, you could be in for a rude awakening. Not only are markets pricing in a higher probability of a permanent ceasefire (over 75%) than is likely, but if we do end up with escalation, that would lead to even more economic and market volatility and downside risks even in the best-case scenario. While an escalation that leads to regime surrender would be more likely than one that leads to 1970s-style stagflation, markets still will have underestimated the risk of pain in the meantime. For anyone on the wrong side of the trade, it would hurt no less if the pain lasted months, rather than years or decades.

31. China's Return to Infrastructure-Led Growth

Author: Yu Yongding | **Date:** May 5, 2026 | **Original:** <https://www.project-syndicate.org/commentary/china-infrastructure-led-growth-still-the-best-strategy-by-yu-yongding-2026-05>

BEIJING—China's first-quarter year-on-year GDP growth rate of 5% indicates that the sustained slowdown seen in the second half of 2025 has been reversed. In March, the producer price index rose by 0.5% year-on-year, ending 41 consecutive months in negative territory. Nonetheless, the fundamental problem of insufficient effective demand remains, which means that authorities are likely to continue proactive fiscal and monetary policies, while remaining vigilant against the effects of oil-price fluctuations and other external shocks.

The most striking (and encouraging) feature of China's economy so far this year lies in infrastructure investment, with annual growth surging sharply, from -2.2% in the first quarter of 2025 to 8.9% in January to March.

This differentiates China from advanced economies such as the United States and European countries, where macroeconomic policymaking focuses primarily on achieving full employment and maintaining price stability. These countries' macro policies are not tailored to specific demand components. Both consumption and investment are determined by households and enterprises, which seek to maximize utility and profits within a given macroeconomic environment shaped by interest rates, liquidity conditions, and the overall scale of fiscal revenue and expenditure.

In China, by contrast, distinct institutional arrangements enable the government not only to regulate infrastructure-investment growth, but also to leverage it as a policy tool for macroeconomic stabilization—a counter-cyclical approach that has proven effective over time. Ever since the post-1978 era of “reform and opening up” began, Chinese authorities have addressed insufficient effective demand by turning up the dial on infrastructure investment (scaling it back during periods of overheating).

Hence, when China launched its massive CNY4 trillion (\$586 billion) stimulus package in 2009, the strategy was to promote consumption through investment and fuel economic growth with stronger consumption, not to target household consumption directly. Infrastructure investment duly shot up by 44%, allowing China—unlike G7 economies—to weather the global financial crisis with no decline in GDP. Between 2007 and 2011, China's share of global GDP increased from 6.2% to 10.3% at current exchange rates, and from 11.5% to 14.5% in purchasing-power-parity terms.

But while China outperformed its peer economies during the post-2008 crisis era, this strategy inevitably produced side effects, including redundant construction, white elephants (costly infrastructure projects that serve little or no purpose), greater shadow-banking risks, ballooning local-government debt, and a runaway housing bubble.

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Moreover, many economists dismissed the 2009 stimulus package as a failure, which in turn led them to reassess the rationale for relying on infrastructure investment as a means of economic stimulus. The view that China is mired in overcapacity and that infrastructure construction has long reached saturation has gradually become the conventional wisdom.

But an important turning point came near the end of 2022 and the beginning of 2023, when the government stated that “insufficient aggregate demand” was a major problem.

Starting in 2024, a wide range of consumption stimulus policies were rolled out, including trade-in subsidies, vehicle-purchase tax credits, consumption vouchers, interest subsidies for personal consumption loans, improved social security and livelihood benefits for low-income groups, and cultural, tourism, and catering subsidies. Some of these measures had previously been introduced on a much smaller scale; but in 2025, fiscal allocations for consumption stimulus were estimated around CNY600–700 billion by market analysts.

Yet despite having yielded positive results, these policies failed to halt the 2025 slowdown in retail sales. Because household consumption is determined by current income, future income expectations, and household wealth, it will ultimately reflect permanent income levels. Without consistent growth in disposable incomes, improved income expectations, and an end to household wealth depreciation, temporary bursts of stimulus can hardly drive strong, lasting consumption growth. Although a significantly larger expansion of consumption subsidies and cash handouts could lift household spending in the short run, such growth would be unsustainable and probably inflationary after a time lag.

By contrast, infrastructure investment has a far larger multiplier effect than consumption stimulus, as extensive empirical studies conducted both in China and abroad have shown. Government-led infrastructure investment first creates new income for enterprises, and those gains are then amplified by consumption multipliers and crowding-in effects, delivering a much stronger boost to the overall economy.

Moreover, there is no need to worry about overcapacity caused by expanded infrastructure investment, because once the deflationary pressures fully recede, the government can moderate the pace of infrastructure expansion to lower the investment rate and raise the consumption rate. In the long run, the growth rates of investment and consumption will converge with potential GDP growth, keeping the investment rate and consumption rate at socially acceptable and stable levels.

More importantly, China is not merely toggling investment levels. To participate fully in the Fourth Industrial Revolution (digitalization and AI), join the ranks of moderately developed countries in terms of income per capita by 2035, and safeguard national security amid complex geopolitical dynamics, the 15th Five-Year Program includes a strategic blueprint for building a modern infrastructure system.

This system will comprise six major nationwide networks: comprehensive transportation, energy, water conservancy, new-generation information and communications technologies, integrated

national computing power, and urban underground pipelines. Market projections suggest that total infrastructure investment will reach a gargantuan CN¥40 trillion under this five-year plan, with annual average investment exceeding CN¥7 trillion.

The growth momentum from such large-scale infrastructure spending is self-evident, and given China's fiscal position, high propensity to save, vast social assets, and foreign net assets, these projects will be eminently affordable. That means China's strategic shift back to infrastructure-driven growth stabilization is fully justified. Despite existing institutional and operational challenges, China is fully capable of achieving an annual GDP growth rate of 4.5% to 5% in 2026.

32. Jerome Powell's Finest Hour

Author: Desmond Lachman | **Date:** May 5, 2026 | **Original:** <https://www.project-syndicate.org/commentary/jerome-powell-will-be-remembered-for-defending-us-institutions-by-desmond-lachman-2026-05>

WASHINGTON, DC—History is likely to be as kind to Jerome Powell, the outgoing chair of the US Federal Reserve Board, as it has been to Winston Churchill. Today, Churchill is mainly remembered for his courageous leadership during World War II, when he mobilized Britons to fend off the Nazi onslaught.

Never mind Churchill's egregious policy mistakes earlier in his political career. Forget his role in Britain's catastrophic military failure at Gallipoli in World War I. Disregard his decision as Chancellor of the Exchequer in 1925 to return Britain to the gold standard at a considerably overvalued exchange rate, which made the Great Depression all the more painful. Ignore it all: As the man responsible for Britain's "finest hour," he is forgiven those errors.

Powell's legacy could be similar. Although he played no small part in letting the inflation genie out of the bottle following the 2020 COVID-19 pandemic, he went on to muster a courageous, principled defense of the Fed's independence in the face of President Donald Trump's predations. He has emerged as a vigilant, dignified, and patriotic public servant at a time when such traits are all too scarce in the US government.

Never has a Fed chair faced—and resisted—so much pressure to carry out inappropriate policy changes. In addition to the vulgar public name-calling and relentless calls for monetary-policy easing, Trump even had the US Justice Department bring spurious criminal charges against Powell for supposed misconduct relating to the \$2.5 billion renovation of the Fed's headquarters. All this was done with the transparent objective of intimidating Powell into cutting interest rates.

Fortunately for all Americans and investors around the world, Powell stuck to his guns in dispassionately pursuing the Fed's dual mandate of price stability and maximum employment. Never did he even consider placating the demagogue. He stood up to Trump when virtually no one else would. Look to the Republican-controlled US Congress and you will find nothing but spineless acquiescence to Trump's policy excesses and undermining of essential institutions. Look to corporate America and you will find only CEOs who have sold their souls to remain in Trump's good graces.

Powell also deserves praise for pulling off what few economists thought possible. Over the past two years, the Fed has managed to bring the inflation rate down from a 40-year high to close to its 2% target. Moreover, it has also succeeded in keeping inflation expectations well anchored, even at a time when Trump was hiking import tariffs to their highest level in a century, pursuing mass deportations, and ramming a recklessly expansionary fiscal policy through Congress.

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Given these achievements, history might well gloss over the policy mistakes that Powell made in handling the pandemic economy. To his credit, he did help the country avert a depression by swiftly cutting interest rates close to the zero-bound in March 2020, and by resuming the Fed's large-scale balance-sheet expansion. But he and his colleagues then erred in keeping monetary policy far too loose for far too long.

Clinging to the mistaken belief that the inflationary shock from COVID's supply-chain disruptions would be transitory, the Powell Fed did not begin hiking interest rates until March 2022. Worse, the Fed continued to expand its balance sheet by around \$125 billion per month through most of 2021, even when the economy was recovering well and receiving substantial fiscal stimulus from President Joe Biden's \$1.9 trillion American Rescue Plan.

The net result was that, between early 2020 and early 2022, the broad money supply increased by an astonishing 40%. And that, in turn, contributed to a surge in consumer price inflation, which peaked at 9.1% in June 2022.

Powell will soon be handing the baton as Fed chair to Kevin Warsh. He will do so at a time when the economy is again suffering a serious inflationary shock, this time from Trump's war of choice against Iran—which has disrupted global supplies of energy, fertilizer, helium, and other critical goods—his aggressive, freewheeling tariff policy, and his expansionary budget policies.

In a final show of patriotic resolve, Powell will be retaining his position as one of the Fed's seven governors. One hopes that Warsh can muster the same courage as Powell did in resisting Trump's demands for premature rate cuts. If he does not, we should brace ourselves for another surge of inflation.

33. The Consensus on China's Economy Is Strong—and Wrong

Author: Arvind Subramanian | **Date:** May 4, 2026 | **Original:** <https://www.project-syndicate.org/commentary/china-export-model-does-not-come-at-the-expense-of-chinese-consumers-by-arvind-subramanian-2026-05>

WASHINGTON, DC— Is China's development model short-changing domestic consumers? Although there is almost universal agreement that it is, that does not make it true.

Among the various forms that this argument takes, the simplest is based on the mercantilist–free trade dichotomy: China's model is mercantilist and therefore preferential toward production and investment over consumption and welfare. For example, in *Trade Wars Are Class Wars*, Matthew C. Klein and Michael Pettis contend that there is a serious distributional conflict within China ("class wars"), with policymakers favoring elites and cronies in big business, and thus prioritizing profits over wage income. Alternatively, some argue that repressive labor policies are critical for the success of the Chinese and East Asian model more generally.

Exhibit A for all these arguments is the share of household consumption in Chinese GDP. Although this metric is lower in China than in the United States, it was respectably high until the early 1990s. That is when China turned mercantilist, running large current-account surpluses that brought the consumption share down dramatically. This metric bottomed out at about 35% in 2010, and stands at only 40% today—substantially below the US and even below comparable countries in East Asia.

But this often-cited metric is potentially misleading in three ways: It is of more interest to macro-economists than development economists; it does not assess countries at comparable points in development time (meaning at similar points in their growth trajectory); and it is probably of more interest to analysts than to Chinese consumers. The latter arguably care more about how their consumption is changing in real time than about the notional share of GDP or some counterfactual scenario envisioning an alternative development strategy.

That is why my 2011 book on China, *Eclipse*, offered an alternative metric. When one looks at Chinese household consumption per capita alongside comparable countries in terms of their postwar growth "take-off time," the picture changes.

If consumption per capita is a reasonable proxy for the standard of living, Chinese citizens have done remarkably well, even better than their counterparts in the fastest-growing East Asian countries. For example, between 1978 and 2024, Chinese household consumption per capita grew by an astounding 7.6% per year, on average, compared to 5.2% growth in Japan, 5.7% in South Korea, and 6.2% in Taiwan over a comparable 46-year period. That makes China's performance not just impressive but unprecedented.

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Of course, several caveats are in order. China’s growth and consumption data might be dodgy. Averages can conceal sharp changes in income distribution, masking the median citizen’s real experience. And China started off at lower levels of consumption, which tends to flatter catch-up growth rates (at their starting points, other countries’ consumption was 3-5 times that of China). Nonetheless, the notion that the Chinese consumer is being short-changed is not consistent with reality.

It is also noteworthy that China’s extreme mercantilist phase—when the consumption share of GDP declined sharply from the late 1990s—did not cause any slowdown in per capita consumption growth. Although the consumption share of GDP was declining, GDP itself was rising so rapidly (owing to the broader development strategy) that absolute levels of consumption surged, too.

To put it differently, even if real (inflation-adjusted) wages are growing more slowly than productivity at every point in time, preserving global competitiveness will allow for faster and more durable growth over time on the back of the resulting export juggernaut. This is indeed what the data show. Average annual Chinese household per capita consumption growth was 7.9% during the phase of peak mercantilism (1995-2010), coinciding with the sharp decline in the consumption share of GDP; when that went into reverse after 2010, consumption growth declined to 6.2%.

What policy conclusions can be drawn from these trends? For starters, China’s mercantilist strategy can be questioned on the grounds that it harms other developing countries by occupying excessive export space in low-skilled goods, as Shoumitro Chatterjee of Johns Hopkins and I recently argued. Moreover, the distortions (from industrial policy and exchange-rate undervaluation) that sustain Chinese mercantilism have generated global imbalances and triggered trade conflicts. And China’s approach is also leading to excessive, unproductive investment at home—a problem with the potential to jeopardize future growth.

For all these reasons, calling on China to change its development strategy may well be warranted. But critics cannot question Chinese mercantilism on the grounds that it penalizes Chinese consumers. Labor repression has evidently not come in the way of soaring economic gains. It seems odd to criticize a country for delivering growth rates in standards of living and consumption that have been perhaps the fastest, longest, and most broad-based (affecting hundreds of millions of people) in history. The prevailing consensus tells us more about China watchers than it does about realities on the ground. We should be wary of “China bashing” masquerading as a concern for Chinese consumers.

34. The Geopolitical Battle Over Monetary Infrastructure

Author: Camila Villard Duran | **Date:** May 4, 2026 | **Original:** <https://www.project-syndicate.org/commentary/monetary-sovereignty-now-about-infrastructure-brazil-pix-cbdc-by-camila-villard-duran-2026-05>

ANGERS—The development of payment infrastructure in emerging-market economies (EMEs)—from instant payment systems in retail markets to wholesale central bank digital currencies (CBDCs) for cross-border interbank settlement—is part of a broader technological transformation. But the intense scrutiny these initiatives face from the United States suggests that what is at stake is not only technical supremacy, but monetary power itself.

Changes to how payments are executed imply a shift in control over the critical infrastructure through which money circulates, with consequences for the exercise of monetary sovereignty. While sovereignty in monetary affairs was traditionally understood as the authority to issue currency, it expanded over time to include oversight of banking systems and financial flows. In an increasingly digitalized world, however, sovereignty now hinges on the mechanisms underpinning payments and settlements, and the data generated by financial transactions.

This shift is especially visible in EMEs, where formal sovereignty has long coexisted with structural dependence. For years, the dollar's dominance has rested not only on its status as a global currency, but also on a dense network of privately governed infrastructure—the Society for Worldwide Interbank Financial Telecommunication (SWIFT), the New York Clearing House Interbank Payments System (CHIPS), and the Continuous Linked Settlement (CLS)—that shape how cross-border payments and financial settlements are conducted. Far from being neutral conduits, these US-dominated systems embed geopolitical power into the routine functioning of global finance, enabling “weaponized interdependence” through sanctions, exclusion, and control over financial flows.

Brazil's Pix is a case in point. An instant payment platform created and managed by the Central Bank of Brazil, Pix has rapidly become a central pillar of the country's financial architecture, surpassing payment cards in transaction volume. It embodies a governance model in which the state manages both payment rules and the data generated by transactions—an increasingly important source of economic and strategic power.

This has clearly spooked the US. The Office of the United States Trade Representative (USTR) opened an investigation into Brazil and included Pix in its 2026 National Trade Estimate Report on Foreign Trade Barriers under the broader category of “non-market policies and practices” that may generate “economic and national security risks” for the US. The report positions state-led payment infrastructure, data-localization measures, and digital regulations as potential distortions of competition that disadvantage foreign firms, particularly US financial-service providers.

But Brazil is not an isolated case. The USTR report expresses similar concerns about efforts in India, China, Indonesia, Turkey, Vietnam, Pakistan, Algeria, Oman, Kuwait, Qatar, and Thailand to develop domestic payment systems and strengthen regulatory control over digital and financial infrastructure, including through data-localization requirements.

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This trend reflects a broader global shift toward a state-led approach to building financial infrastructure for the digital economy. Domestic payment systems, including Pix and India’s UPI, should therefore be understood as part of a wider movement among EMEs to reclaim control over the rails on which money and financial data move.

Such a structural shift becomes even more consequential at the cross-border level, unlocking the potential for connecting domestic instant payment systems (like the Bank for International Settlements-led Project Nexus) and, crucially, using CBDCs for wholesale transactions.

Projects such as mBridge—bringing together China, Hong Kong, Thailand, the United Arab Emirates, and Saudi Arabia with initial support from the BIS—as well as emerging BRICS+ initiatives, illustrate how CBDCs can be used to redesign international payment infrastructure. By integrating messaging, clearing, and settlement, a single, state-governed platform may reduce reliance on traditional intermediaries and enable direct settlement in local currencies.

More importantly, this approach embeds public authority into the technological architecture of payments and settlements, expressed in code, protocols, and governance rules. Monetary sovereignty, in this context, becomes infrastructural: it is exercised through the design and control of systems that support cross-border financial flows.

For EMEs, this represents a strategic opportunity. By reducing dependence on dollar-based infrastructure and enabling settlement in local currencies, multi-CBDC platforms and a standardized protocol linking domestic instant payment systems provide a pathway, albeit still limited, to expand the external dimension of monetary sovereignty.

To be sure, these developments do not signal the end of dollar dominance. The structural foundations of today’s US-led system, from deep and liquid domestic financial markets to strong network effects and global demand for dollar-denominated assets, are robust. The rapid expansion of dollar-backed stablecoins may even reinforce this dominance in the digital realm.

But a more fragmented and contested landscape is emerging. The new initiatives are reconfiguring the existing system at the margins: creating alternative channels, redistributing power (albeit to a limited degree), and, above all, demonstrating that infrastructure, not currency, is the primary terrain of monetary competition.

This evolution has two important implications. First, future conflicts in the international monetary system are likely to center on standards, platforms, and data governance rather than exchange rates or

reserve currencies. Second, EMEs are no longer merely passive recipients of global financial standards; they are becoming drivers of institutional and technological innovation.

In this context, the central question is no longer who issues money, but who designs and governs the infrastructure through which it moves. The answer will not be determined by technological efficiency alone. It will be shaped by law, institutional choices, and geopolitical strategy—and will ultimately define the future distribution of monetary power.

35. Has De-Dollarization Begun?

Author: Kaushik Basu | **Date:** May 1, 2026 | **Original:** <https://www.project-syndicate.org/commentary/trump-policies-could-bring-about-end-of-dollar-hegemony-by-kaushik-basu-2026-05>

NEW YORK—As the economic consequences of US President Donald Trump’s war against Iran become evident, policymakers around the world are running out of patience. The recent Spring Meetings of the International Monetary Fund and World Bank in Washington made this abundantly clear, with UK Chancellor of the Exchequer Rachel Reeves lamenting the “folly” of a war that is “not ours.”

But much of the cost will be borne by the United States itself. The immediate effects are visible: a sharp rise in gas prices, inflation climbing to a two-year high, and growing concerns that, as consumers cut back on spending to offset higher costs, unemployment will rise. While these short-term shocks are serious, a major risk that has received less attention is that the dollar could lose its status as the world’s primary trade and reserve currency.

The decline of a reserve currency is a slow process. The British pound ceded its dominance to the US dollar over roughly two decades, beginning in the 1920s. As Barry Eichengreen has noted, the Roman denarius—arguably the world’s first international currency—also unraveled over a long period, starting when Emperor Nero debased it in the first century CE.

Any international currency ultimately depends on trust. I witnessed this during my time as chief economic adviser to the Indian government under Prime Minister Manmohan Singh. On August 5, 2011, S&P downgraded the US long-term credit rating from AAA to AA+, fueling fears of immediate capital flight. Instead, the opposite happened: money flowed into the US economy. In the face of global turbulence, investors trusted that the US would honor its obligations, no matter the cost.

That trust, a cornerstone of soft power, is rapidly eroding. Samantha Power, the former administrator of the US Agency for International Development (USAID), highlighted this in a recent lecture at Cornell University, where she criticized the Trump administration’s decision to dismantle the agency. The abrupt and “heartless” manner in which it was shut down, she said, halted humanitarian aid without warning, leading to immense suffering among populations around the world that had depended on its continuity.

The closure of USAID, alongside Trump’s military adventures in Iran and Venezuela and relentless attacks on long-standing allies like Canada and Denmark, has cast a shadow over America’s global standing and trustworthiness. This, in turn, puts the dollar’s hegemonic status at risk.

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To understand the potential cost, consider seigniorage: because the dollar is globally trusted, the Federal Reserve can print a \$10 bill for less than seven cents, and it will be accepted at full value around the world. As empires from Rome to Britain have shown, issuing the world's leading currency allows a country to create value almost out of thin air. Losing that capacity would slow economic growth.

Unless US policy reverses course, this year may go down in history as the moment the US dollar began to lose its status as the world's currency.

This raises the question: Which currency will replace the dollar? The renminbi appears to be the strongest candidate. A decade ago, the Chinese currency gained credibility when the International Monetary Fund included it in the basket of global currencies underpinning Special Drawing Rights (the Fund's reserve asset), but it was still widely dismissed as "no match" for the greenback. Today, the prospect of renminbi primacy no longer seems unthinkable.

Yet China's ability to assume that global role is far from assured. As economist Qiao Liu observed in his 2016 book *Corporate China 2.0*, the country combines an "authoritative political regime" with more flexible institutional arrangements in which "relationships still matter," a hybrid that does not readily inspire the kind of global confidence a reserve currency requires.

Chinese President Xi Jinping appears to understand this dynamic. In a 2024 speech, Xi emphasized the need to internationalize the renminbi to bolster China's soft power, calling for a "powerful currency that can be widely used in international trade, investment, and foreign-exchange markets and attain reserve currency status." But the main obstacle to reserve-currency status for the renminbi—the maintenance of capital controls—remains firmly in place.

The strongest rebuke of Trump's policies over the past year came from an unexpected source: King Charles III. His address to Congress on April 28, delivered with characteristic British wit and restraint, sent a clear message that the US is on the wrong path, one that could destroy its global standing.

There was, however, cause for optimism. The repeated bursts of bipartisan applause Charles received from members of Congress suggested they were already aware of America's predicament.